Vision, Mission and Core Values

Our Vision

To be a world class integrated producer of sugar, green energy and related products

Our Mission

To consistently satisfy our customer needs through efficient, innovative and ethical practices while meeting the diverse expectations of other stakeholders

Our Core Values

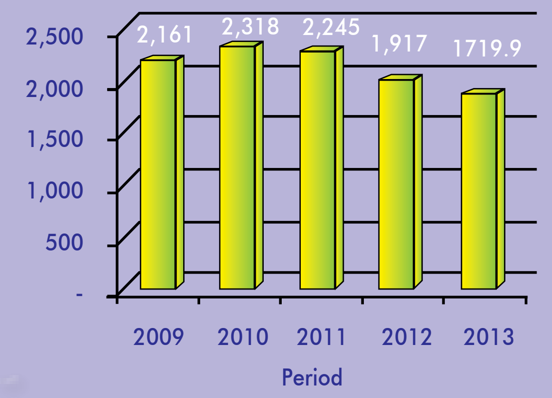
MSC shall gain competitive advantage through its empowered, talented, energetic and passionate workforce who shall be committed to the following values:-

- Quality products and services to our customers
- Excellence in team driven performance
- Ethical business practices
- Responsible corporate citizenship
- Safety, health and sound environmental practices.

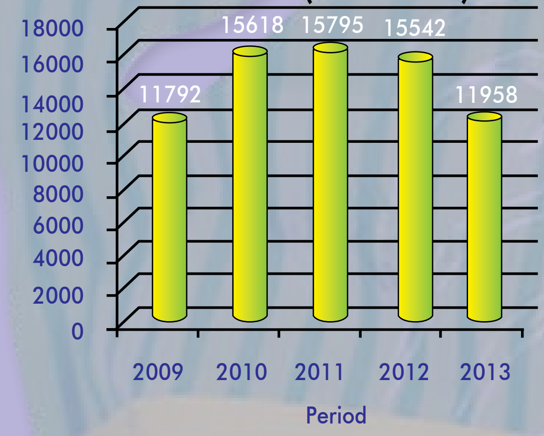
Contents

Performance Highlights

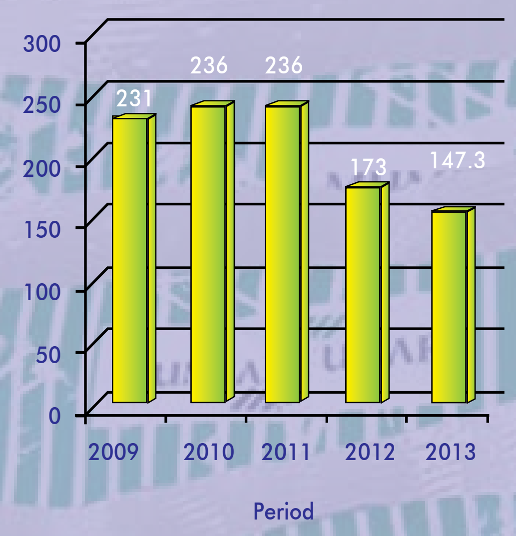
Sugar Cane Processed ('000 tonnes)



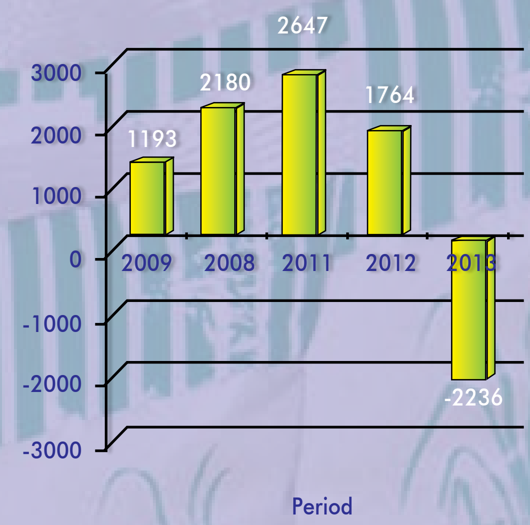
Net Turnover (Shs 'billions')



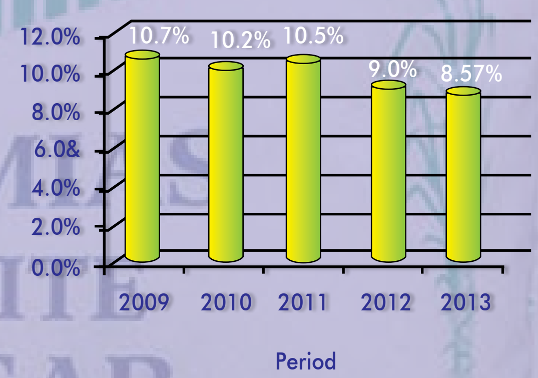
Sugar Production ('000 tonnes)



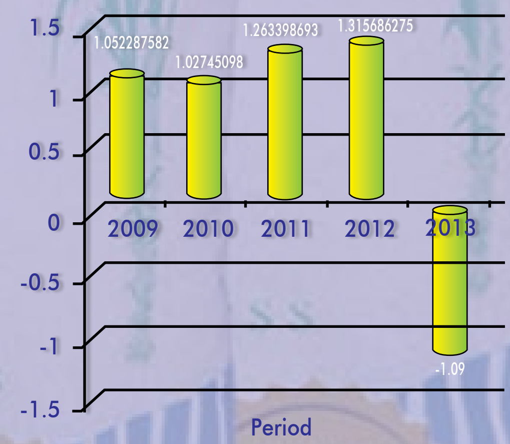
Profit Before Tax (Shs 'millions')



Rendement / Sugar Recovery Rate(%)



Earnings Per Share (Shs)



Five Year Summary

For the Year Ended 30 June 2013

	2008/09 Shs'000	2009/10 Shs'000	2010/11 Shs'000	2011/1-2 Shs'000	2012/13 Shs'000
Turnover	11,791,708	15,617,738	15,795,300	15,542,686	11,957,823
Cane purchases from out growers	4,923,637	6,630,910	6,536,896	6,588,976	6,070,735
Gross profit	**3,310,968**	**4,884,538**	**5,446,730**	**4,487,707**	**1,548,248**
Profit before taxation	1,193,161	2,179,874	2,646,575	1,764,029	(2,235,999)
Taxation	416,811	(607,491)	(713,350)	248,650	566,283
Profit after taxation	**1,609,972**	**1,572,383**	**1,933,225**	**2,012,679**	**(1,669,716)**
Shareholders' funds at period end	10,039,469	10,999,852	14,476,007	15,723,686	13,288,970
Gross profit margin	28.08%	31.38%	34.4%	28.87%	12.95%
Return on capital employed	11.88%	19.82%	18.28%	11.23%	(16.83)%
Number of shares, '000	1,530,000	1,530,000	1,530,000	1,530,000	1,530,000
Dividends	612,000	612,000	765,000	765,000	-
Dividends per share, Shs	0.40	0.40	0.50	0.5	-
Earnings per share, Shs	1.05	1.03	1.21	1.31	(1.09)
Direct revenue to Government by way of Value Added Tax, Excise Duty and Income taxes	1,514,156	2,496,155	2,227,900	2,568,269	2,978,278
Staff costs:					
Management	907,541	1,129,231	954,974	1,136,712	1,150,448
Non-management	716,778	847,141	973,662	876,675	1,012,610
Total staff costs	**1,624,319**	**1,976,372**	**1,928,636**	**2,013,387**	**2,163,058**
Registered farmers at period end	84,567	89,012	104,489	115,002	103,950
Area under cane (Ha)					
Nucleus estate	3,722	3,554	3,683	3,637	3,697
Outgrowers	62,818	55,543	58,580	59,715	53,116
Cane processed (Thousand Tonnes)	2,161	2,318	2,245	1,917	1,720
Sugar produced (Thousand Tonnes)	231	236	236	173	147
Category of permanent employees:					
Management	588	541	579	606	626
Non-management	1,112	982	1,225	1,290	1,306
Total	**1,700**	**1,523**	**1,804**	**1,896**	**1,932**

Value Added Statement

Financial Impact on Various Stakeholders

CUSTOMERS
Net Cash from our activities
Kshs 11,958 million

EMPLOYEES
Staff Costs
Kshs 2,163 million
1,932 Employees

FARMERS
103,950 Farmers
Cost of Cane = Kshs 6,071 million
Credit to Farmers = Kshs 2,608 million

GOVERNMENT
Taxes
Kshs 2,532 million

SUPPLIERS
Purchases
Kshs 4,540 million

BANKS & FINANCIERS
Interest & Charges
Kshs 477 million

COMMUNITIES
Corporate Social Investment
Kshs 29 million

KSB
KSB Levy
Kshs 446 million

DIRECTORS

Mr J V Bosse - Chairman
Mr P Kebati - Managing Director
Mr Henry K. Rotich - (alternate Mrs E Koimett)
Mr J G Chege
Mrs S K Serem
Mr F K Kigen
Mr E M Mukabanah
Mr C Otolo
Mr N. Namenge
Mr J Opindi
Mrs N Kaminchia

BOARD COMMITTEES

Board Audit Committee

Mr C Otolo - Chairman
Mrs E Koimett - (alternate to Mr Rotich)
Mr N Namenge
Mr F Kigen

Board Human Resource and Strategy Committee

Mr F Kigen - Chairman
Mr P Kebati
Mrs E Koimett
Mrs N Kaminchia
Mr E M Mukabanah
Mrs S K Serem

Board Tender Committee

Mr J G Chege - Chairman
Mr E Mukabana
Mr J Opindi
Mrs S K Serem

Board Projects Committee

Mr J Opindi - Chairman
Mr J G Chege
Mr F Kigen
Mr C Otolo
Mrs E Koimett
Mr P Kebati

COMPANY SECRETARY

Mrs Emily Otieno
Certified Public Secretary (Kenya)
Private Bag, Mumias

REGISTERED OFFICE

Mumias Sugar Company Limited
Private Bag, Mumias

REGISTRARS

Image Registrars
P O Box 9287 - 00100
Nairobi

BANKERS

Kenya Commercial Bank Limited
Barclays Bank of Kenya Limited
The Co-operative Bank of Kenya Limited
CFC Stanbic Bank Limited

ADVOCATES

E K Owinyi & Company
Hamilton Harrison & Mathews
Prof. Ojienda & Associates
Mohammed Mugai & Company Advocates
Wetangula Adan Makokha & Company Advocates

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P O Box 40092 - 00100
Nairobi

MAJOR SHAREHOLDERS

The major shareholders on the company's share register as at 30 June 2013 were as follows:

		Number of shares	Percentage holding
1	Permanent Secretary, Treasury	306,000,000	20.00%
2	Kenya Commercial Bank Limited	26,322,100	1.72%
3	Standard Chartered Nominees Non-Resd. A/C 9894	26,044,467	1.70%
3	The Jubilee Insurance Company Limited	22,335,002	1.46%
4	Standard Chartered Nominee Account KE 14353	14,545,593	0.95%
5	Abdul Karim Charturbhai Popat	14,400,000	0.94%
6	Baloobhai Chhotabhai Patel	14,057,100	0.92%
7	Standard Chartered Nominees A/C 9098 AC	10,109,575	0.66%
8	Pradeep Patani	8,961,002	0.59%
9	Standard Chartered Nominees Non Resd A/C 9573 AC	8,859,000	0.58%
11	Others	1,078,366,161	70.48%
	Total	1,530,000,000	100%

DIRECTORS' SHARE HOLDING

The directors' direct and indirect interests in the ordinary share capital of the company as at 30 June 2013 were as follows:

	Number of shares
Permanent Secretary, Treasury	306,000,000
Mr Peter Kebati	51,000
Mrs Sarah Serem	7,500
	306,058,500

SHAREHOLDERS' PROFILE

Category	Number of shareholders	Number of shares	Percentage Holding
Local individuals	131,902	786,467,413	51.40%
Local corporate	4,042	617,222,905	40.34%
Foreign investors	667	126,309,682	8.26%
Totals	136,611	1,530,000,000	100%

SHARES DISTRIBUTION SUMMARY

Shareholding Classification	Accounts	Number of Shares	Shares %
1 to 500	23,330	5,490,630	0.36
501 to 1000	40,858	28,423,600	1.86
1001 to 5000	50,680	117,100,788	7.65
5001 to 10000	10,728	75,779,474	4.95
10001 to 50000	8,669	181,558,337	11.87
50001 to 100000	1,098	78,365,331	5.12
100001 to 500000	972	202,249,559	13.22
500001 to 1000000	140	99,375,558	6.50
1000001 to 2000000001	136	741,656,723	48.47
Total:	136,611	1,530,000,000	100

Notice of the Annual General Meeting (AGM) 2013

NOTICE IS HEREBY GIVEN that the 42nd Annual General Meeting of the Company will be held at Tom Mboya Labour College on Friday 6 December 2013 at 10.00am to conduct the following business:

1. To read the notice convening the meeting.
2. To confirm the minutes of the 41st Annual General Meeting held on 7 December 2012
3. To receive, consider and, if approved, adopt the Financial Statements for the year ended 30 June 2013 together with the Directors' and Auditors' Reports thereon.
4. To elect Directors:

   (a) Mr. Sakwa Bunyasi resigned from the Board in the course of the year thus creating a casual vacancy on the Board. Under Article 95 of Table A of the First Schedule of the Company's Act and Article 114 of the Company's Articles of Association, Directors have power to appoint a director to fill a casual vacancy on the Board. In the course of the year, Mr. Dan Ameyo was appointed a director to fill the vacancy left by the departure of Mr. Sakwa Bunyasi. Shareholders will ratify the appointment of Mr. Dan Ameyo as Director.

   (b) Mr. Edwins Mukabana, Mr. John Bosse, Mrs. Sarah Serem and Mr. Henry K. Rotich (CS Treasury) are due to retire by rotation in accordance with article 113 of the company's Articles of Association. Mr. Rotich, Mrs Serem and Mr. Mukabana are eligible for re-election but Mr. Bosse will be retiring from the Board. Shareholders will elect suitable Directors to fill these positions.

5. To consider and approve the Directors' fees for the year ended 30th June 2013
6. To note that the Auditors, Delloitte and Touche, being eligible, continue in office in accordance with section 159(2) of the Companies Act (cap 486) and to authorize the Directors to fix the Auditors' remuneration.
7. Any other business for which appropriate notice has been issued and received.

BY ORDER OF THE BOARD

E K OTIENO
Company Secretary

Date: 2nd September 2013

Note:

1. Any member may by notice duly signed by him or her and delivered to the Secretary, not less than 3 and not more than 21 days before the date appointed for the Annual General Meeting, give notice of his intention to propose any person for election as director to the Board, such notice is to be accompanied by a notice signed by the person proposed indicating his or her willingness to be elected.
2. A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the company. A form of proxy may be obtained from the Company's website or from the Company's share registrars. To be valid, a proxy must be duly completed and signed by the member and must either be lodged at the offices of the company's share registrars, Image Registrars and Certified Public Secretaries, 8th Floor, Transnational Plaza, Mama Ngina Street, P.O. Box 9287, Postal Code 00200 G.P.O NAIROBI or lodged at the Company's registered office at Mumias not later than 11.00 a.m on Monday 30th November 2012.
3. In accordance with Article 155 of the Company's Articles of Association, a copy of the entire Annual Report and Accounts, a copy of this notice and proxy form may be viewed on and obtained from the Company's web site at www.mumias-sugar.com. An abridged version of the Balance Sheet, Income Statement, Statement of Change in Equity and Cash flow Statement for the year ended 30th June 2012 have been published in two daily newspapers with nationwide circulation.

Notisi ya Mkutano wa Pamoja wa Mwaka (AGM) 2013

NOTISI INATOLEWA HAPA KWAMBA mkutano wa 42 wa pamoja wa mwaka wa kampuni utafanyika katika chuo cha Tom Mboya Labour Ijumaa Desemba 6, 2013 kuanzia saa nne asubuhi ili kuangazia maswala yafuatayo kibiashara:

1) Kusoma notisi ya kuitishwa kwa mkutano

2) Kuthibitisha kumbukumbu za mkutano wa 41 wa mwaka uliofanyika Desemba 7, 2012.

3) Kupokea, kuangazia na endapo itathibitishwa kupitisha taarifa za matumizi ya pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2013 pamoja na ripoti za wakurugenzi na wakaguzi wa pesa

4) Kuwachagua wakurugenzi:

a) Bw. Sakwa Bunyasi alijizulu kutoka halmashauri wakati wa kipindi cha mwaka na kusababisha kuwepo kwa pengo katika Halmashauri. Chini ya kifungu nambari 95 cha kitengo cha A kwenye awamu ya kwanza ya sheria za kampuni na sehemu ya 114 ya sheria za makampuni, wakurugenzi wana uwezo kumteua mkurugenzi kujaza nafasi iliyo wazi katika halmashauri ya wakurugenzi. Wakati wa kipindi cha mwaka, Bw. Dan Ameyo aliteuliwa kama Mkurugenzi ili kujaza nafasi iliyoachwa wazi baada ya kuondoka kwa Bw. Sakwa Bunyasi.Wanahisa wataidhinisha kuteuliwa kwa Bw. Dan Ameyo kama Mkurugenzi.

b) Mabw. Edwins Mukabana, John Bosse, Bi Sarah Serem na Bw. Henry K. Rotich (Katibu wa wizara ya fedha) wanatarajiwa kustaafu kwa zamu kwa mujibu wa kifungu nambari 113 cha sheria za makampuni. Wanahisa watawachagua wakurugenzi ili kujaza nafasi hizi

5) Kupitisha malipo ya wakurugenzi kwa kipindi cha mwaka uliomalizika Juni 30, 2013

6) Kutambua kwamba, kwa kuwa hali inawaruhusu, wakaguzi wa pesa Delloitte & Touche wataendelea mbele na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za makampuni (kifungu nambari 486) na kuwaamuru wakurugenzi kuamua malipo yao.

7) Shughuli nyingine ambazo notisi yake itakuwa imetolewa na kupokelewa kwa muda unaofaa.

KWA AMRI YA HALMASHAURI

E K OTIENO
Katibu wa Kampuni

Imenukuliwa Septemba 2, 2013

Muhimu:

1) Mwanachama yeyote kupitia notisi aliyotia sahihi yeye mwenyewe na kuwasilishwa kwa katibu kabla ya siku 3 lakini zisizidi 21 kabla ya kufanyika kwa mkutano wa pamoja wa mwaka anaweza kutoa notisi kuonyesha nia yake ya kumpendekeza mtu yeyote kuchaguliwa kama Mkurugenzi kwenye Halmashauri. Notisi kama hii iambatane na sahihi iliyotiwa na mtu aliyependekezwa kudhihirisha nia yake kutaka kuchaguliwa.

2) Mwanachama aliye na uwezo kufika kwenye mkutano na kupiga kura lakini akawa hawezi kufanya hivyo, ana ruhusa kumteua wakala wake kuhudhuria na kupiga kura kwa niaba yake. Si lazima kwa wakala huyo kuwa mwanachama wa kampuni. Fomu ya wakala inaweza kupatikana kupitia wavuti wa kampuni au wasajili wa hisa za kampuni. Ili kukubaliwa, fomu ya wakala lazima iwe imejazwa kikamilifu na kutiwa sahihi na mwanachama na lazima iwasilishwe katika ofisi za msajili wa hisa za kampuni, Image Registrars and Certified Public Secretaries, orofa ya nane Jumba la Trans National Plaza Barabara ya Mama Ngina , Slp 9287-00200 GPO NAIROBI au iwasilishwe katika ofisi za kampuni , Mumias kabla ya saa tano asubuhi siku ya Jumatatu Novemba 30, 2013.

3) Kwa mujibu wa kifungu nambari 155 cha sheria za kampuni,nakala nzima ya ripoti ya mwaka na matumizi ya pesa pamoja na notisi hii na fomu ya wakala zinaweza kupatikana kupitia wavuti wa kampuni ambao ni: www.mumias-sugar.com . Muhtasari wa mizania, taarifa za mapato na mabadiliko ya hisa na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika Juni 30, 2013 zimechapishwa kupitia magazeti mawili ya kila siku yanayosomwa kwa wingi kote nchini.

Board of Directors

Chairman

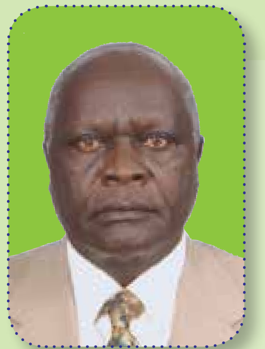
MR JOHN BOSSE (66)

Mr. Bosse is the Chairman of the Board and is an Associate of the Chartered Institute of Bankers (ACIB-UK). He has had a long banking career with Kenya Commercial Bank where he rose to be the Chief Operating Officer of Kenya Commercial Finance Corporation. He also served as Chief Executive of Development Bank of Kenya for over 17 years before his retirement.

Managing Director

MR. PETER KEBATI (49)

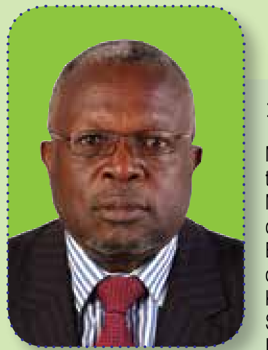
Peter Kebati is Managing Director and Chief Executive Officer of the Company. He is a holder of a Bachelor of Commerce – Accounting option degree from the University of Nairobi. He is also a Certified Public Accountant and Certified Credit Professional and a member of the Institute of Certified Public Accountants of Kenya (ICPAK). Previously, he worked as the Head of Audit before being elevated to the position of Finance Director and ultimately Managing Director. He had earlier worked with Price Waterhouse and Standard Chartered Bank in Audit & Credit Management.



Director

MR. FRANCIS KIPKOECH ARAP KIGEN (68)

Mr. Kigen is a graduate of University of Nairobi where he obtained a BA (Hons) degree before proceeding for a Master of Education degree at the University of Malaysia, Kuala Lumpur in Malaysia. He has previously served as a director of Kenya Bureau of Standards, as alternate director at Esso Kenya Limited. He has held managerial positions having worked as Human Resources/ Public Affairs Manager at Esso Kenya Limited, as Training Manager at British American Insurance Company and as Director of Kenya Institute of Personnel Management.



Director

MR. DAN AMEYO

Mr. Ameyo holds aBachelor of Laws (LL.B) (Hons) Degree from the University of Nairobi, a Master of Laws (LL.M) from Queen Mary, University of London. He is a practising advocate and legal consultant on trade and integration law in Kenya and within the East African Community and COMESA region. He is an advocate of the High Court of Kenya, a member of the Law Society of Kenya (LSK), a member of the Institute of Certified Public Secretaries of Kenya (ICPSK) and a Fellow of the Chartered Institute of Arbitrators in London.

He previously worked as a State Counsel in the Attorney General's chambers where he served as an Alternate Director to the Attorney General on various Boards including Kenya Airways and Capital Markets Authority. He also worked as the Post Master General and CEO of Postal Corporation of Kenya. He is currently a non-executive Chairman of the Board of Directors of Equatorial Commercial Bank.

Director

MRS. SARAH JEPKEMBOI CHUMO SEREM (54)

Mrs. Serem holds a Bachelor of Arts (Sociology and Political Science) and a Masters of Business Administration from the University of Nairobi. She is a member of the Institute of Human Resource Management of Kenya and has over 28 years experience in HRM practice and other management undertakings. She is the managing director of YoungBiz, a multinational trading company that specializes in entrepreneurship business and financial literacy education. She is currently the Chairperson of the Salaries and Remuneration Commission.

Alternate Director

MRS. ESTHER KOIMET (56)

Mrs. Koimett is the alternate to Mr. Henry K. Rotich, the Cabinet Secretary for National Treasury. She is a holder of an MBA and Bachelor of Commerce degrees from the University of Nairobi. She has held various senior positions in government and the parastatal sector. She has been a Permanent Secretary, Ministry of Tourism and Information as well as the Managing Director of Postbank. She is currently the Investment Secretary, Ministry of Finance.

Cs – National Treasury)

MR. HENRY K. ROTICH

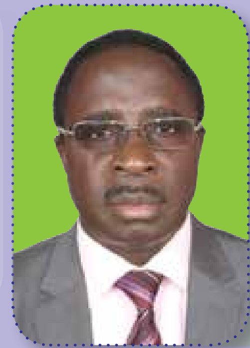
Mr. Henry K. Rotich is the Cabinet Secretary for National Treasury. Prior to his appointment, Rotich was the Head of Macroeconomics at the Treasury, Ministry of Finance, since March 2006.

Prior to joining the Ministry of Finance, Mr. Rotich worked at the Research Department of the Central Bank of Kenya since 1994. Between, 2001-2004, he was attached to the International Monetary Fund (IMF) local office in Nairobi to work as an economist. Mr. Rotich has previously served as a Director on several Boards of State Corporations, including: Insurance Regulatory Board; Industrial Development Bank; Communication Commission of Kenya; and Kenya National Bureau of Statistics. Mr. Rotich holds a Master's Degree in Public Administration (MPA) from the Harvard Kennedy School, Harvard University. He also holds Master's Degree in Economics and a Bachelor's Degree in Economics (First Class Honours), both from University of Nairobi.

Director

MRS. NANCY KAMINCHIA

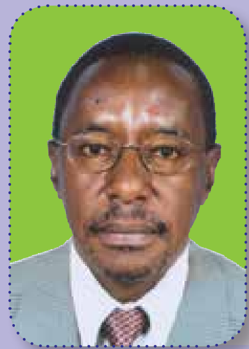
Mrs Kaminchia holds a Bachelor of Science in Agriculture from University of Nairobi, Master of Science in Crop Production from Bath – UK. Currently Mrs. Kaminchia is a consultant and non-Executive Director of Middle East Bank (Kenya) and a Trustee of Mbegu Trust, a non-profit organization. She is also a member of Institute of Directors, Kenya Chapter, Registered with National Environmental Management Authority as a lead Expert, Founder member Kenya Professional Association of Women in Agriculture and Environment (KEPAWAE) and Parklands Sports Club.



Director

MR. MUKABANAH EDWINS MASSIMBA (56)

Mr. Mukabana has a Master of Science in Transport Planning and Management from Westminster (UK) and a Bachelor of Arts in Political Science. He is currently the Managing Director of the Kenya Bus Services Management Ltd and President of Bus Operators Commission at Union of Africa Public Transport (UATP). Mr Mukabana is also a Managing Consultant with Transport Links Ltd, a firm that advises on transport restructuring.



Director

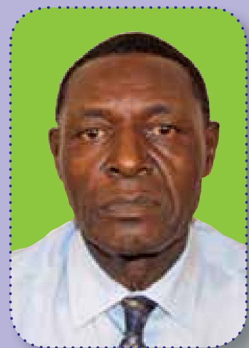
MR. JAMES CHEGE (60)

Mr. Chege is an Accountant by profession with a Bachelor of Commerce degree from the University of Nairobi and an MBA from Cornell University, Ithaca USA. Prior to becoming the Head of Corporate Banking at Kenya Commercial Bank, Mr. Chege worked as the Managing Director of KCFC which is a wholly owned subsidiary of KCB. He is currently engaged in private business.

Company Secretary

MRS. EMILY K OTIENO (44)

Mrs. Otieno is the Company Secretary and the Secretary to the Board. She holds an LLB Degree from the University of Nairobi, a Post graduate Diploma in Legal studies from the Kenya School of Law and an Executive Diploma in Corporate Governance from Kenya College of Accountancy (KCA) University. She is a Certified Public Secretary of Kenya and an advocate of the High court of Kenya. She is currently pursuing MBA studies with the University of Nairobi. She has wide experience in corporate law practice having been an in house counsel for a long period of time. She is a member of the Institute of Certified Public Secretaries of Kenya (ICPSK) and the Law Society of Kenya (LSK) in good standing. She is also a member of the Institute of Directors, Kenya.



Director

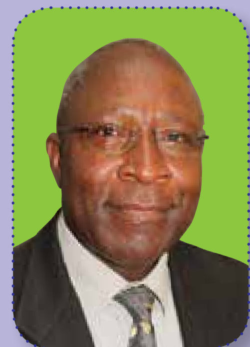
MR. COUTTS OTOLO

Mr. Otolo is a Certified Public Accountant and Financial & Management Consultant. He holds a Bachelor of Commerce (Honours) degree from University of Nairobi. He is licensed to practice in UK, Kenya, Uganda and Rwanda as a Certified Public Accountant. Mr. Otolo is currently the Chief Executive Officer; Crowe Horwath EA, a firm of Certified Public Accountants, having previously worked as the Chief Executive Officer and Regional Head of Advisory Services at Ernst & Young; Eastern Africa. He is a Fellow of the UK Chartered Association of Certified Accountants (FCCA), Member of the Institute of Certified Public Accountants of Kenya (ICPAK) and former member of Governing Council, Member of the Institute of Certified Public Accountants of Uganda (ICPAU) and Member of the Institute of Certified Public Accountants of Rwanda (ICPAR)

Director

NIMRODE NAMENGE

Mr. Namenge holds a M.A. Economics & Business from Samuel J. Silverman College of Administration in U.S.A. He worked as a career civil servant in various capacities mainly in vadministration. He is currently a farmer of coffee and food crops.



Director

MR. JAMES OPINDI

Mr. Opindi holds Bsc. Mechanical Engineering degree from University of Nairobi. Currently he is the General Manager, Weld Com Limited Mombasa. He has a wealth of experience in Health and Safety issues from diverse jurisdictions.

John V Bosse
Chairman

Our Shareholders;

On behalf of the Board of Directors and Management of the Company, I wish to present to you the Annual Report on the business and operations of the Company and financial results for the year ended 30th June, 2013. Unlike the previous years, the results for this year are negative due to various factors. I urge you esteemed Shareholders to receive the results objectively. The Board is working with Management in order to ensure that the Company comes back to profitability.

Operations

The company processed 1,719,920 tonnes of cane compared to 1,917,340 in 2012 representing a 10.3% drop in volumes of cane. This was mainly due to a decline in cane supply this year as explained in the Managing Director's Report.

In the period, the company produced 147,320 tonnes of sugar compared to 172,614 in 2012 which was 15% below the level of production in the previous financial year. The factory efficiency was lower due to lower capacity utilisation arising from low supply of cane and hence less sugar was recovered.

Revenue

Gross turnover was Kshs 14,936 million compared to Kshs 18,703 million 2012 which was 20% below the level achieved the previous year. The global and regional sugar supply increased resulting in much lower selling prices which further dipped turnover when coupled with low production. A lot of illegal cheap sugar imports found their way into the Kenyan market thereby depressing sugar prices further.

The sale of power from co-generation plant generated a net revenue of Kshs 305 million compared to Kshs 435 million in 2012. This was a decrease of 29.9% and was attributed to low availability of cane from which the bagasse used as fuel is generated. The Company has sourced for bagasse from neighbouring millers where possible in order to sustain both the co generation and the ethanol boilers which use bagasse to fire the boilers.

The Company sold 4 million litres of ethanol and earned Kshs 331 million in revenue compared to Kshs 1.5 million in 2012. The ethanol plant has now stabilised and full commercial operations are now in progress.

The Company sold 951,000 litres of water and earned Kshs 28 million in revenue. The plant was still undergoing some product re-designs hence full commercial operations had not yet commenced at the close of the financial year.

Contribution to Government revenue

The Company continues to be one of the biggest contributors to the government exchequer in taxes from Value Added Tax (VAT), Sugar Development Levy (SDL), Excise duty and other taxes. In the financial year the Company paid Kshs 3.0 billion to the Government in VAT, SDL, Excise duty and other taxes compared to Kshs 3.2 billion in 2012.

Dividends

Due to the poor performance in the period under review, the Directors do not propose the payment of a dividend.

Future outlook

Mumias Sugar Company is still a strong company. We are making every effort to address the current challenge of cane supply through various programs. With sufficient cane supply, it is expected that all the current plants i.e sugar, co-generation and ethanol will run as expected hence product diversification will be a key growth driver as other opportunities are being explored.

The Board of Directors will continually review the various business strategies in place to ensure sustained business profitability and growth. The Board is cautiously optimistic of a satisfactory performance in the coming financial year.

Thank you.

John V Bosse
Chairman

John V Bosse
Mwenyekiti

Kwa wanahisa wetu;

Kwa niaba ya Halmashauri ya wakurugenzi wasimamizi wa Kampuni, ningependa kuwaletea ripoti ya mwaka kuhusu biashara na shughuli za Kampuni na pia matokeo ya kifedha kwa kipindi cha mwaka uliokamilika Juni 30, 2013. Tofauti na miaka iliyopita, matokeo ya mwaka huu sio mazuri kutokana na sababu mbalimbali. Nawaomba wanahisa wetu wapendwa kupokea matokeo haya kama yalivyo. Halmashauri inafanya kazi na usimamizi kuhakikisha kwamba Kampuni imerejelea kiwango cha upatikanaji wa faida.

Matokeo ya kifedha

Kampuni ilisaga tani 1, 712, 920 za miwa ikilinganishwa na tani 1, 917, 340 mwaka 2012 na kuwakilisha upungufu wa asilimia 10.3 (10.3%) wa viwango vya miwa. Hali hii ilitokana hasa na upungufu wa uwasilishaji miwa mwaka huu kama ilivyofafanuliwa kupitia ripoti ya Meneja Mkurugenzi.
Wakati wa kipindi hiki, kampuni ilizalisha tani 147, 320 za sukari ikilinganishwa na tani 172, 614 mwaka 2012 kiwango kilichoshuka kwa asilimia 15 (15%) ikilinganishwa na kipindi cha mwaka uliopita wa matumizi ya pesa. Utekelezaji kazi wa kiwanda ulikuwa wa chini kutokana na matumizi yake kushuka hali iliyosababishwa na kushuka kwa viwango vya miwa iliyowasilishwa na kupelekea uzalishaji duni wa sukari.

Mapato

Mapato kwa jumla yalikuwa Shilingi milioni 14, 936 ikilinganishwa na shilingi milioni 18, 703 mwaka 2012 kiasi ambacho kilipungua kwa asilimia 20 (20%) dhidi ya mapato ya mwaka uliotangulia. Usambazaji wa sukari duni uliongezeka na kupelekea kupungua kwa bei za mauzo hali iliyochangiwa zaidi na uzalishaji duni. Sukari nyingi ya thamani ya chini iliingizwa katika soko la humu nchini na kuzorotesha zaidi bei za sukari.

Mauzo ya kawi kutoka kiwanda cha pamoja yalizalisha jumla ya ksh. milioni 305 baada ya kutozwa ushuru ikilinganishwa na Ksh. milioni 435 mwaka 2012. Hii ilipungua kwa asilimia 29.9 (29.9%). Upungufu huu ulisababishwa na kiwango cha chini cha miwa ambayo mabaki yake hutumiwa kama mafuta.

Kampuni imeagiza mabaki ya miwa kutoka viwanda vilivyo karibu panapohitajika ili kudumisha mitambo yote miwili ya uzalishaji wa kawi na moto unaotumiwa kuchemsha mapipa yanayotengeza kemikali aina ya ethanol.

Kampuni iliuza lita milioni 4 za ethanol na kujipatia mapato ya Ksh. Milioni 331 ikilinganishwa na Ksh. Milioni 1.5 mwaka 2012. Kwa sasa, kiwanda cha ethanol kimekuwa thabiti na shughuli kamili za kibiashara zinaendelea.

Kampuni iliuza lita 951,000 za maji na kujipatia mapato ya Ksh. Milioni 28. Kiwanda hiki cha maji kilikuwa kikifanyiwa usanifu wa bidhaa na kwa sababu hiyo shughuli kamili za kiuchumi hazikuwa zimeanza kufikia mwisho wa kipindi hiki cha matumizi ya pesa.

MCHANGO KWA HAZINA YA SERIKALI

Kampuni inaendelea kuwa mchangiaji mkuu kwenye mfuko wa hazina ya serikali kupitia ushuru wa ziada (VAT), ushuru kwa maendeleo ya kilimo cha miwa (SDL),mapato ya ushuru na ushuru mwingine. Wakati wa kipindi hiki cha matumizi ya pesa, kampuni ilitoa malipo ya Kshs. bilioni 3.0 kwa serikali kama ushuru wa ziada (VAT), SDL, ushuru wa mapato na ushuru mwingine ikilinganishwa na Ksh. bilioni 3.2 mwaka 2012.

Mgao wa faida

Kutokana na matokeo duni wakati wa kipindi cha mwaka unaongaziwa, Wakurugenzi hawapendekezi kutolewa kwa malipo yoyote ya mgao wa faida.

Mtazamo wa siku za usoni

Kampuni ya sukari ya Mumias ingali thabiti. Tunafanya juhudi zote kushughulikia changamoto zilizoko sasa za upatikanaji wa miwa kupitia mipango mbalimbali. Huku tukiwa na miwa ya kutosha, inatarajiwa kuwa viwanda vilivyoko kwa sasa, kwa mfano mtambo wa pamoja wa uzalishaji wa ethanol zitahudumu kama inavyotarajiwa. Kwa sababu hiyo,upanuzi wa bidhaa utakuwa kigezo muhimu huku nafasi nyingine zikizidi kuvumbuliwa.

Halmashauri ya wakurugenzi itazidi kutathmini mikakati mbalimbali ya kibiashara iliyoko ili kuhakikisha uwepo wa faida za kibiashara na ukuaji. Halmashauri ina matumaini makubwa ya kuwepo kwa matokeo ya kuridhisha wakati wa kipindi kijacho cha matumizi ya pesa.

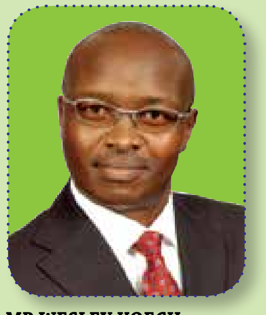
Asanteni

John V. Bosse
Mwenyekiti.

Management Team

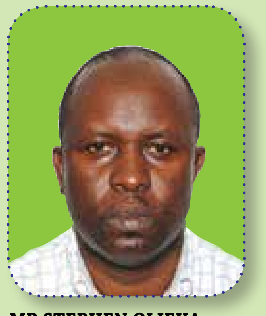
MR PETER KEBATI
Managing Director

MRS EMILY K OTIENO
Company Secretary & Director of Legal Affairs



MR WESLEY KOECH
Ag. Director of Agriculture

MR PAUL MURGOR
Commercial Director



MR STEPHEN OLIEKA
Director of Human Resources

MRS PAMELA LUTTA
Director of Marketing & Corporate Affairs

MRS. MARGARET MAKHUNGU-MUKOBA
Ag. Director of Information & Communication Technology

MR CHRIS CHEPKOIT
Finance Director

MR JOSEPHET ASIRA
Ag. Director of Factory Operations

Managing Director's Statement

Our Shareholders and Investors

On behalf of Management, allow me to present this Report on the operations of the Company during the period under review. Our Company's performance declined compared to previous periods due to the emerging challenges in the industry. Despite the challenges, the Management team is determined to reverse this position and bring the Company back to the desired profitability levels.

Financial Performance

The total turnover for the year was Kshs 11.2 billion for sugar, Kshs 458 million for energy and Kshs 261 million for ethanol. The turnover was mainly depressed by low cane supply with lower quality and pol (sucrose), low rendement occasioned by low recovery rate, and low sugar prices in the market. The gross profit was Kshs 1.5 billion with a net loss before tax of (Kshs 2.2 billion) compared to Kshs 1.7 billion profit in 2012

Agricultural Operations

The cane zone received a mean of 1907.9 mm rainfall against a long term mean (LTM) of 1846.9 mm which was above LTM. Cane supplied to the factory was 1,706,927.4 tonnes. This was below target due to depressed cane volumes and wet weather that hampered cane transportation. A total of 126,509 tonnes was received from the NE, 1,423,054 tonnes from the OG, 102 tonnes from Nzoia, 151,375 tonnes as private cane, and 5,887.4 tonnes delivered as other cane.

Combined cane yields for both NE and OG stood at 47.1 TCH largely due to harvesting of relatively younger cane and ancient ratoons.

Pol % (sucrose in cane) was 10.74 against budget of 12.44 while extraneous matter was 2.78% against budget of 3.00% and staleness stood at 1.87 days against budget of 2.00 days. Total ha burnt down in the financial year was 586.68 ha. An estimated 150,000 tonnes of cane were poached by neighboring mills especially West Kenya. Cane poaching has become the major challenge to our operations as it affects cane supply thus distorting projections.

A total of 9,156.1 ha were ploughed against the budgeted 13,000 ha. Area harrowed and furrowed was also below budget. A total of 8,382.63 ha and 8,354.65 were harrowed and furrowed respectively against a budget of 13,000 ha. An area of 8,771.61 ha was planted while a total of 62,997.56 tons of seedcane were supplied to the outgrowers.

Farmer training and Education was carried out extensively throughout the scheme for the purpose of enhancing farmers' skills and knowledge on sugar cane production.

A total of 2,178.78 km road works were done against a budget of 2500 km. This was in an effort to make the roads in the cane zones passable in order to access cane in the fields.

Peter Kebati
Managing Director

Factory Performance

Inadequate and poor quality of cane affected factory operations. During the period under review, two out of crop (OOC) maintenances of the factory plant were undertaken, one in July 2012 and the other in May 2013 during the wet period. Production of branded sugar was maintained at 30% of the total production. Total sugar production for the financial period was 147,308 tons which was (102,708) tons (41%) below budget and (25,306) tons (15%) below the previous year. Rendement for the period was below budget by 2.00 points. Ethanol and electricity production continued save for the challenges associated with raw material supply

Sales and Commercial activities

Global market of sugar was unstable during the year. The prices remained volatile and sugar futures market output increased by 4.0 million tonnes to a record of 181.4

million tonnes thus a surplus of 6.3 mln tones for the 2012/13 period. Regionally, Egypt production declined due to the political instability in the country.

During the period a total of 140,775 tonnes of sugar was sold against a budget of 176,000 tonnes. Branded sales stood at 29.0% of the total sales against a target of 50%. Low sales were experienced during the period as a result of low production. There was evident high demand for sugar during the period and as a result, competitors both from local and imported dominated the market.

An average net selling price of Kshs 78,540/= was achieved against a budget of Kshs 80,000 per tonne compared to Kshs 106,742/= in the previous period. During the first half of the period prices were unstable due to cheap imports in the market from within the region especially Uganda and Tanzania.

Most companies have increased their branding levels as a way of generating more revenue due to better margins. However there are shifts towards in-house branding by most key supermarkets thus threatening the shelf space for major brands like Mumias sugar. Importers have also started to rebrand bulk sugar as a market strategy thus intensifing competition.

During the financial year imports increased to an all-time high both from COMESA and other regions. KRA imposed cash bonds on sugar imports from Tanzania and Uganda did not affect the influx of the sugar from the two countries due to nontraditional entry points like Loitoktok, Kwale and Liboi. Most COMESA countries who traditionally export to Kenya still have their stocks committed to European Union until early 2014.

The Company did import 10,000mt from within COMESA in the 2nd half of the period to curb the deficit on target and take advantage during maintenance period. However the consignment was delayed on docking.

A total of 951,000 litres of water was sold during the period against a target of 6 million litres. The poor performance was due to the fact that the product was still at the introductory stages.

A total of 4 million litres of ethanol were sold against a target of 6 million litres. Ethanol production was affected by technical problems in the production coupled with KRA delay in approval of customers.

Marketing and Corporate Affairs

Marketing activities were sustained albet at a low level as part of controlling costs. In order to align product delivery to consumer needs, a Research was carried out to gauge consumer behaviours focusing on sugar brand health, market trends/market share analysis consumer behaviour in terms of needs, usage, beliefs, perceptions and awareness and consumption levels of all brands

MANAGING DIRECTOR'S STATEMENT (CONT'D)

Redesign of the Mumias Sprinkles bottle was undertaken and completed. This was as a response to consumer and trade feedback on the branding, labeling and packaging of water brand. The redesign process was also part of efforts to deal with noted challenges of 1 litre bottle during warehousing and distribution, production costs, pricing and margins on the water business line.

The company continued to utilize various avenues to sustain communication and information flow to various stakeholders. The channels included briefings quarterly publications for the employees and Sukari Quarterly for farmers, the electronic boards, intranet and the Website.

The Company established the Mumias Sugar Foundation to undertake corporate social investment activities. The framework for the efficient and effective delivery of the Mumias Sugar Foundation mandate was completed and approved by the Trustees of the Foundation. The following corporate social responsibility activities were undertaken during the period under review;

Education

Donation of 1 classroom per 11 schools in the 10 Zones ithin the MSC cane scheme (Shimuli ECD, Mumias township, St Johns Mukhweya, Mukhuma Sec, Luliba Pri, Opedur Pri, Eshitari Pri, Madende Pri, Mulukoba Pri, Igara Sec, Esumeiya Pri)

Health

Eye Camps (Mumias Town, Buchenya Pri, Nambale Pri, Makunga market, Bumula Pri). MSC in collaboration with Red Cross carried out a jigger eradication exercise in Bumula zone (420 attended) Bulimbo Primary School where 800 people were attended to. The Company supported other health initiatives including Mater Heart Run where Kshs 2.9 million was raised by employees, Booker school and the larger Mumias Community

Entrepreneurship

MSC organised community based meetings in all zones to assess and evaluate the existing Community Based Organizations network on the ground as part of setting up structured groups to be engaged in entrepreneur and income generating activities for the 2013/14 period.

Environment

The Company contributed and participated in county clean-ups for Mumias and Bungoma counties. The Company donated clean up equipment and also employees participated in the exercise. A total of 105,000 tree seedlings were donated to the community targeting mainly farmers and schools.

Corporate Reputation Management

Corporate reputation management was a big challenge given the increased focus on the Company. Engagement with key media houses and stakeholders was employed for objective reporting about the Company in press and also to minimize negative publicity.

Human Capital Investment

The Company continues to invest in skilled human capital as an asset for the organization

In line with the company's objective of digitizing records, personal files for all employees were digitized. Employee performance remained the focus through the employee performance programs.

The relationship between management and the Union remained harmonious with the usual consultations on the Collective Bargaining Agreement (CBA) and welfare matters. Discipline across the Company continued to improve with various consultations where necessary.

The Company made some changes in the top Management team as follows;

(i) Mr. Chris Chepkoit Kisire who was the Finance Director resigned and his place was taken over by Mr. Godfrey Ouma, previously the Treasury Accountant awaiting the substantive filling of the position. The position has since been filled following interviews conducted by the Board Human Resources and Strategy Committee.

(ii) Mr. Jonah Omuyoma, previously the Director of Factory Operations took an early retirement. His position was filled my Mr. Josephat Asira who was previously the Chief Electrical Engineer.

(iii) Mr. Moses Daniel Nyongesa who was the Director of Agriculture left the Company. His position was taken by Mr. Wesley Koech, the Director of ICT in a holding position. The Board Human Resources and Strategy Committee is in the process of identifying a candidate to fill the position substantively. Mr. Koech's position was taken by Mrs. Margaret Makhungu, previously the Infrastructure and Development Manager on a holding position.

(iv) Mr. Thomas Okello Ochieng' was appointed as the Corporate Quality Assurance Manager to deal with matters of quality of products and services across the entire value chain.

As part of improvement of the corporate image for the Company, construction of the new MSC Office block and the Farmer Care Centre was completed and the building is now in the final stage of fixtures and fittings prior to occupancy.

Litigation, dispute resolution and compliance with laws.

During the period, a detailed legal audit was undertaken on the operations of the Company in order to gauge the compliance levels and risk exposure for proactive action. The accounting dispute between MSC and Mumias Outgrowers Company is still pending while various cases were at different stages of hearing.

Information and Communication Technology

During the period under review, various projects/initiatives were completed including implementation of a farmers service management system and farmer hotline mini call centre, interfacing of Agriculture Management System (AMS) and Laboratory Information Management System (LIMS) amongst others. Other business process initiatives completed were: automation of seed cane weighing by use of Personal Digital Assistant devices (PDA), implementation of Vehicle Identification System (VIS) and use of smartcards and PDAs in mill cane and seed cane transport.

Safety, Health and Environment

Safety, health and environment remain key focus areas for the company and are monitored on a continuous basis. During the period under review, sufficient resources were deployed in this area in order to ensure compliance with statutory requirements. Because of the mitigating measures undertaken by the Company, the number of workplace injuries and safety breaches has been reduced drastically. We continue to undertake proactive measures through regular audits of our operations.

CONCLUSION AND FUTURE OUTLOOK

The company has developed a Strategic Plan for the period 2012-2017. The areas of focus will be consolidating on our production plants to maximize productivity, improvement in service delivery to farmers for better yields, product diversification and brand equity building, develop a robust enterprise risk management system and ensure that we have the human capital to grow the business.

Thank you and may God bless you.

PETER KEBATI
Managing Director

Wanahisa wetu na wawekezaji

Kwa niaba ya usimamizi, naomba fursa hii kuwaletea ripoti kuhusu shughuli za Kampuni kwa kipindi cha mwaka unaoangaziwa. Matokeo ya Kampuni yetu yalipungua ikilinganishwa na vipindi vilivyopita kutokana na changamoto ibuka kwenye sekta hii. Licha ya changamoto hizi, timu ya usimamizi imejitolea kubadilisha hali hii na kuirejesha Kampuni katika hali ya kupata viwango vya faida vinavyoratajiwa.

MATOKEO YA KIFEDHA

Mapato jumla ya mwaka mwaka huu yalikuwa Ksh bilioni 11.2 kwa sukari, Ksh bilioni 458 kwa sekta ya kawi na Ksh bilioni 261 kwa uzalishaji wa kemikali ya ethanol. Mapato haya yalipungua kutokana na viwango vya chini vya miwa iliyowasilishwa ikiwa na viwango duni vya pol (Sukari ya muwa), kupungua kwa mapato kukiandamana na ulipaji duni wa madeni na bei duni za sukari katika soko. Faida ya jumla ilikuwa Ksh bilioni 1.5 na hasara halisi kabla ya kutozwa ushuru ikiwa ni Ksh. bilioni 2.2 ikilinganishwa na faida ya Ksh bilioni 1.7 mwaka 2012.

SHUGHULI ZA KILIMO

Kanda ya miwa ilipokea kiwango cha wastani cha mvua ya milimeta 1907.9 dhidi ya kiwango cha muda mrefu cha wastani (LTM) cha milimeta 1846.9 ambacho kilikuwa cha juu cha LTM. Miwa iliyowasilishwa kiwandani ilikuwa tani 1,706, 927.4. Kiwango hiki kilikuwa cha chini dhidi ya malengo yaliyotarajiwa kutokana na viwango hafifu vya miwa na hali ya unyevu iliyoathiri usafirishaji wa miwa. Jumla ya tani 126,509 za miwa zilipokelewa kutoka NE, tani 1,423, 054 kutoka OG, tani 102 kutoka Nzoia, tani 151,375 kama miwa ya kibinafsi na tani 5,887 kutoka maeneo mengine.Mazao ya miwa kwa jumla kutoka NE na OG yalikuwa 47.1 TCH kutokana na uvunaji wa miwa changa na inayoota.

Kiwango cha POL kwa asilimia (sukari kwenye miwa) kilikuwa 10.74 dhidi ya bajeti ya 12.44 huku hewa kutoka nje ikiwa 2.78 dhidi ya bajeti ya asilimia 3.00 na uchachu ukisimamia siku 1.87 dhidi ya malengo ya siku 2.00. Jumla ya ekari 586.68 za miwa ziliteketea wakati wa kipindi hiki cha mwaka w a matumizi ya pesa. Inakadiriwa kwamba, Jumla ya tani 150,000 za miwa ziliviziwa na viwanda viliyo karibu hasa West Kenya. Uviziaji wa miwa umekuwa changamoto kubwa kwa shughuli zetu kwani unaathiri viwango vya miwa inayopokelewa hivyo kuvuruga makadirio yanayohitajika.

Peter Kebati
Meneja Mkurugenzi

Jumla ya hekta 9,156.1 za mashamba zililimwa dhidi ya bajeti ya hekta 13,000. Eneo lililochimbwa mitaro na kutandazwa pia lilikuwa la chini dhidi ya bajeti iliyolengwa. Jumla ya hekta 8,382.63 na 8,353.65 zilichimbwa mitaro na kutandazwa mtawalia dhidi ya bajeti ya hekta 13,000. Hekta 8,777.61 zilipandwa miwa huku jumla ya tani 62,997.56 za miche ya miwa ikisambaziwa wakulima.

Mafunzo na elimu kwa wakulima zilitekelezwa kikamilifu kote kwa madhumuni ya kuimarisha ufahamu kuhusu uzalishaji wa zao za miwa.

Jumla ya kilomita 2, 178.78 za kazi ya ujenzi wa barabara zilitekelezwa dhidi ya bajeti ya kilomita 2,500. Hii ilikuwa juhudi ya kufanya barabara zilizoko katika kanda ya miwa kupitika na kuwezesha kufikia miwa iliyoko mashambani.

MATOKEO YA KIWANDA

Uhaba na thamani duni ya miwa ziliathiri shughuli za kiwanda. Katika kipindi cha mwaka unaongaziwa, ukarabati wa kiwanda mara mbili ulitekelezwa mwezi Julai 2012 na mwingine mwezi Mei 2013 wakati wa msimu wa mvua. Uzalishaji wa sukari iliyotiwa alama ulidhibitiwa kwa asilimia 30 (30%) ya uzalishaji kwa jumla.

Uzalishaji wa jumla wa sukari kipindi hiki cha mwaka wa matumizi ya pesa ulikuwa tani 147,308 kiasi ambacho kilikuwa ni cha chini kwa tani 102,708 (asilimia 41%) chini ya bajeti na tani 25,306 (15%) chini ikilinganishwa na mwaka uliotangulia. Malipo kwa kipindi hiki cha mwaka yalikuwa chini ya bajeti kwa pointi 2.00. Uzalishaji wa ethanol na umeme ziliendelea vyema licha ya changamoto zilizoandamana na upatikanaji wa mali ghafi.

MAUZO NA SHUGHULI ZA KIBIASHARA

Bei za sukari kote duniani hazikuwa imara wakati wa kipindi hiki cha mwaka. Bei hizi ziliendelea kuwa hafifu na kugeuka geuka huku hali ya soko la sukari siku za usoni ikiongezeka kwa tani milioni 4.0 na kuandikisha rekodi ya tani milioni 181.4 hivyo kuwakilisha ongezeko la tani milioni 6.3 kwa kipindi cha mwaka 2012/13. Uzalishaji wa sukari katika taifa la Misri ulipungua kutokana na ukosefu wa uthabiti wa kisiasa nchini humo.

Wakati wa kipindi hiki, jumla ya tani 140,775 za sukari ziliuzwa dhidi ya bajeti ya tani 176,000. Sukari iliyo na nembo/ alama ilikuwa asilimia 29 (29%) ya jumla ya mauzo yote dhidi ya matarajio ya asilimia 50 (50%).Mauzo ya chini yalishuhudiwa wakati wa kipindi hiki kutokana na uzalishaji wa chini. Kulikuwa na hitajiko kubwa la bidhaa ya sukari wakati wa kipindi hiki cha mwaka na kwa sababu hiyo, ushindani mkubwa ulishuhudiwa kutoka masoko ya humu nchini na ya sukari iliyoagizwa kutoka mataifa ya nje.

Kiwango cha wastani cha bei cha Ksh. 78,540 kiliafikiwa dhidi ya bajeti ya Kshs. 80,000 kwa kila tani ikilinganishwa na Ksh. 106,742 kipindi kilichotangulia. Wakati wa kipindi cha kwanza, bei hazikuwa imara kutokana kuingizwa kwa bidhaa duni kwenye soko hasa kutoka mataifa ya kanda ya Uganda na Tanzania.

Mataifa mengi yameongeza viwango vya bidhaa zake kama njia mojawapo ya kupanua mapato yake kutokana na viwango bora vya faida. Hata hivyo, kuna mabadiliko ya uwekaji nembo/alama kwenye maduka makubwa muhimu na hivyo kuhatarisha nafasi ya bidhaa kubwa kama vile Mumias Sugar. Waagizaji kutoka mataifa ya nje pia wameanza kuweka alama yao kwenye sukari ya kiwango kikubwa kama mkakati mojawapo wa masoko hivyo kuendelea kupanua ushindani.

Wakati wa kipindi hiki cha mwaka wa matumizi ya pesa, bidhaa kutoka nje ziliongezeka kipindi kizima kutoka mataifa

ya COMESA na maeneo mengine. Halmashauri ya ukusanyaji mapato ilizindua dhamana ya pesa taslimu kwa uagizaji wa sukari kutoka mataifa ya Uganda na Tanzania hali ambayo haikuathiri kuingia kwa wingi kwa bidhaa hii kutoka mataifa haya mawili kutokana na kuingizwa kwa sukari kupitia vituo visivyo vya kawaida kv. Loitoktok, Kwale na Liboi. Nchi nyingi kutoka mkataba wa COMESA ambayo kwa kawaida huagiza sukari kutoka Kenya bado zinaendelea kutegemea hifadhi yake kutoka mataifa ya Umoja wa Ulaya hadi mapema mwaka 2014.

Kampuni iliagiza metriki tani 10,000 kutoka mataifa ya COMESA wakati wa kipindi cha pili cha mwaka ili kukabiliana na upungufu dhidi ya malengo yaliyonuiwa na wakati huo kutumia vyema kipindi cha ukarabati. Hata hivyo, shehena ilikawia bandarini.

Jumla ya lita 951,000 za maji ziliuzwa wakati wa kipindi hiki dhidi ya matarajio ya lita milioni 6. Matokeo haya duni yalitokana na hali kwamba bidhaa hii ingali katika hatua za awali.

Jumla ya lita milioni 4 za ethanol ziliuzwa ikilinganishwa na kiwango kilichotarajiwa cha lita milioni 6. Uzalishaji wa ethanol uliathiriwa na matatizo ya kiufundi kwenye uzalishaji na kuchangiwa zaidi na ucheleweshaji wa halmashauri ya ukusanyaji mapato-KRA kuwaidhinisha wateja.

UVUMISHAJI NA MASWALA YA SHIRIKA

Shughuli za uvumishaji zilidhibitiwa kwa kiwango cha chini kama njia moja ya kukabiliana na gharama. Ili kuafikiana na mahitaji ya wateja, zoezi la utafiti lilitekelezwa ili kuangazia mienendo ya wateja kuhusiana na afya ya bidhaa, mabadiliko kwenye masoko/ tathmini ya nafasi kwenye masoko, mienendo ya wateja kwa mujibu wa mahitaji , matumizi, dhana, ufahamu na viwango vya matumizi ya bidhaa zote.

Ubunifu mpya wa maji ya chupa ya Mumias Sprinkles ulitekelezwa na kukamilika. Hii ilitokana na majibu kutoka kwa wateja na biashara kuhusiana na utangazaji kwa kutumia maandishi na uhifadhi wa bidhaa ya maji. Hatua za ubunifu huu mpya zilikuwa mojawapo wa juhudi za kukabiliana na changamoto zilizopatikana kutokana na maji ya lita moja wakati wa uhifadhi kwenye ghala na usambazaji, gharama za uzalishaji, uwekaji bei na tofauti zilizoko kwenye mipaka ya biashara ya maji.

Kampuni iliendelea kutumia mbinu mbali mbali kudumisha mtiririko wa mawasiliano na habari kwa washika dau mbali mbali. Mbinu hizi zilihusisha utoaji wa machapisho ya habari kwa kila kipindi cha miezi minne kwa wafanyakazi na jarida la kila miezi minne kwa wakulima, mabango yanayotumia umeme, mtandao wa ndani kwa ndani na tovuti.

Kampuni ilianzisha wakfu wa Mumias Sugar Foundation ili kutekeleza shughuli za uwekezaji wa shirika kwa jamii. Mfumo wa kuuwezesha wakfu huu kutekeleza wajibu wake ipasavyo ulikamilika na kuidhinishwa na wadhamini wa wakfu. Shughuli zifuatazo za shirika kwa jamii zilitekelezwa wakati wa kipindi hiki kinachoangaziwa;

Elimu:

Msaada wa darasa moja kwa shule 11 katika zoni 10 zilizoko eneo la kilimo cha miwa cha MSC (Shimuli ECD, Mumias Township, St. Johns Mukhweya, Mukhuma Sec, Luliba Pri, Opedur Pri, Eshitari Pri, Madende Pri, Mulukoba Pri, Igara Sec na Esumeiya Pri.)

Afya:

Kampi za macho (Mumias Town, Buchenya Pri, Nambale Pri, Makuna Market, Bumula Pri). Kwa ushirikiano na Red Cross, MSC ilitekeleza zoezi la kumaliza funza huko Bumula (Watu 420 walihudhuria), Bulimbo Primary School ambapo watu 800 walihudumiwa. Kampuni ilisaidia shughuli nyingine za kiafya ikiwemo Mater Heart Run ambapo shilingi milioni 2.9 zilichangwa

kutoka kwa wafanyakazi, Bookers School na jamii nzima ya wakazi wa Mumias.

Ujasiriamali (Uwekezaji):

Kampuni ya MSC iliandaa mikutano ya kijamii katika zoni zote ili kuchunguza na kutathmini mitandao ya mashirika ya Kijamii yaliyoko nyanjani kama sehemu moja ya kubuni makundi yenye muundo bora yatakayohusishwa kwenye shughuli za ujasiriamali (Uwekezaji) na mapato kwa kipindi cha mwaka 2013/14.

Mazingira:

Kampuni ilitoa mchango na kushiriki katika zoezi la usafi kaunti za Mumias na Bungoma. Kampuni ilitoa mchango wa kifaa cha usafi huku wafanyakazi wake pia wakishiriki. Jumla ya miche 105,000 ya miti ilitolewa kwa jamii na kulenga hasa wakulima na shule.

Usimamizi wa Sifa za Kampuni:

Usimamizi wa sifa za Kampuni ulikuwa changamoto kubwa hasa ikizingatiwa kuongezeka kwa mtazamo wake. Uhusiano na mashirika muhimu ya vyombo vya habari na washika dau ulianzishwa ili kutoa ripoti halisi kuhusu kampuni kupitia vyombo vya habri na wakati huo kuthibiti utoaji ripoti zisizo halisi.

Uwekezaji kwa wafanyakazi:

Kampuni inaendelea kuwekeza katika taaluma ya wafanyakazi kama raslimali ya shirika.Kwa mujibu wa malengo ya kampuni ya kuweka rekodi zake kwenye mfumo wa digitali, faili zote za wafanyakazi zilinukuliwa kwenye mfumo huu. Matokeo ya wafanyakazi yaliendelea kuangaziwa kupitia mipango ya matokeo ya wafanyakazi.

Uhusiano baina ya wasimamizi na shirika linalowatetea uliendelea kuwa mzuri kupitia mashauriano ya kawaida kuhusu mkataba wa makubaliano (CBA) na maswala ya kimaslahi. Nidhamu kwenye kampuni iliendelea kuimarika kupitia mashauriano mbali mbali pale inapohitajika.

Kampuni ilifanya mabadiliko mbali mbali kwenye timu ya juu ya usimamizi kama ifuatavyo:

i) Bw. Chris Chepkoit Kisire aliyekuwa Mkurugenzi wa Fedha alijiuzulu na mahali pale kuchukuliwa na Bw. Godfrey Ouma ambaye awali alikuwa mhasibu katika idara ya fedha akisubiri kujaza kikamilifu nafasi. Kwa sasa nafasi hii imejazwa kufuatia kufanyika kwa mahojiano yaliyoendeshwa na Halmashauri ya Idara ya kusimamia wafanyakazi na kamati ya mkakati.

ii) Bw. Jonah Omuyoma ambaye awali alikuwa Mkurugenzi wa shughuli za kiwanda alistaafu mapema na nafasi yake kujazwa na Bw. Josephat Asira ambaye awali alikuwa mhasibu Mkuu wa umeme.

iii) Bw. Moses Daniel Nyongesa ambaye alikuwa Mkurugenzi wa Kilimo alistaafu kutoka Kampuni na nafasi yake kutwaaliwa na Bw. Wesley Koech ambaye ni Mkurugenzi wa kitengo cha habari na mawasiliano kama kaimu msimamizi. Halmashauri ya Idara ya kusimamia wafanyakazi na kamati ya mkakati ziko kwenye harakati za kumteua atakayesimamia kikamilifu nafasi hii. Nafasi ya Bw. Koech ilitwaaliwa na Bi. Margaret Makhungu ambaye awali alikuwa Meneja wa muundo msingi na maendeleo kama kaimu msimamizi.

iv) Bw. Thomas Okello Ochieng aliteuliwa kama Meneja wa ubora wa shirika ili kuangazia maswala yanayohusiana na ubora wa bidhaa na huduma katika nyanja zote .

Kama sehemu moja ya kuimarisha sura ya shirika la kampuni, ujenzi wa jengo jipya la ofisi za MSC na kituo cha kuwashughulikia wakulima zilikamilika. Kwa sasa jumba hilo liko katika hatamu za mwisho za ujenzi ili liweze kutumika.

Kesi, utatuzi wa mizozo na uzingatiaji wa sheria.

Wakati wa kipindi hiki kinachoangaziwa, mikakati mbali mbali ilikamilika ikiwemo uanzishaji wa mfumo wa usimamizi wa huduma za wakulima na kituo cha dharura cha kuwashughulikia wakulima, kuweka pamoja mfumo wa usimamizi wa kilimo (AMS) na mfumo wa usimamizi wa mawasiliano ya maabara (LIMS) miongoni mwa nyingine. Mikakati mingine ya kibiashara iliyokamilishwa ilikuwa ni pamoja na : utumiaji wa mitambo kupima uzani wa miwa kwa kutumia kifaa cha digiteli kinachojulikana kama personal Digital Assistant devices (PDA) , uzinduzi wa mfumo wa kutambua magari – Vehicle Identification System (VIS) na matumizi ya kadi maalumu- smartcards na PDAs kwenye kiwanda cha uminyaji miwa na uchukuzi wa mbegu.

Usalama, Afya na mazingira

Usalama, afya na mazingira zingali eneo muhimu linaloangaziwa na kampuni na zinachunguzwa kila wakati. Wakati wa kipindi cha mwaka unaongaziwa, mtaji wa kutosha ulitumiwa eneo hili ili kuhakikisha uzingatiaji wa mahitaji ya kisheria. Kutokana na hatua zilizochukuliwa na kampuni kupunguza hatari, idadi ya majeruhi na visa vinavyohatarisha usalama zimepungua kwa haraka. Tunaendelea kuchukua hatua za tahadhari kupitia ukaguzi wa mara kwa mara wa shughuli zetu.

HITIMISHO NA MTAZAMO WA SIKU ZA USONI

Kampuni imebuni mkakati kwa kipindi cha mwaka 2012-2017. Eneo litakaloangaziwa litahusu kuweka pamoja kiwanda chetu cha uzalishaji ili kuboresha uzalishaji, kuimarisha utoaji wa huduma kwa wakulima ili kupata mavuno bora, upanuzi wa bidhaa na uimarishaji wa usawa wa bidhaa, kubuni mfumo thabiti wa usimamizi wa hatari zinazokabili biashara na kuhakikisha kwamba tuna mtaji wa wafanyakazi ili kustawisha biashara.

Asanteni na Mungu awabariki.

Peter Kebati

Meneja Mkurugenzi

1.0 EDUCATION

MSC considers Education as a vital component of the lifeline of the community within which it operates. It is with this in mind that MSC continues to fund the construction of school infrastructure within the sugarcane zones. In the financial year ended June 2013 MSC funded the construction of 12 classrooms in 11 schools spread across the sugar belt. It is envisaged that these classrooms will go a long way in increasing accessibility to education within the MSC scheme. It will also reduce overcrowding in classrooms for the schools that benefitted thus making a tremendous contribution towards provision of quality of Education within the scheme.

MSC has also continued to support bright students to access quality education through a bursary scheme managed by ELIMU TRUST. Through this scheme, 10 students from the farmers' households and an equal number from MSC staff are sponsored annually to enable them access secondary school education.

MSC has continued to be the institution of choice for students seeking internship. Each year we offer more than 450 internship positions. Upon completion, the interns would have gained an invaluable experience that will enable them be the perfect fit in any work environment related.

2.0 Health and Sanitation

MSC realizes that government funding towards social welfare has continued to be below target given the level of increasing needs. MSC has therefore been in the forefront in supporting the government to increase accessibility of its people to quality health services. MSC continues to support St. Mary's Hospital, Mumias, with a grant that usually goes to an urgent project as selected by the hospital management board. St. Mary's Hospital is strategically located to serve as a referral facility for both the farmers and MSC staff members.

Among other health initiatives, MSC has also dedicated its resources in supporting medical camps and anti-jigger campaigns. In the just concluded financial year, of the company reached out to 6,386 people within the sugar belt during the anti-jigger campaigns.

MSC continued to support the Mater Heart run, an event that brings together Kenyans in fundraising for children requiring open heart surgery performed annually at Mater Hospital in Nairobi. A number of staff members, students from MSC sponsored schools, other schools, colleges and universities plus several other people from the community participated in the run. About 2.9 million shillings was raised during this year's event.

3.0 Environment

The importance of a clean and healthy environment cannot be overemphasized. It is because of this that MSC has continued to collaborate with other partners in the scheme to ensure that measures that go into cleaning and rehabilitating the environment are given the importance that they deserve. MSC participated in the planting of 95,000 seedlings across the entire scheme. The survival rate for the seedlings has been put at more than 90%. This was achieved through close co-operation between the company, community groups and learning institutions. The schools embraced the 'Adopt-a-Tree' campaign where each student was assigned a seedling. He/she has to ensure that it survives. Efforts were also put in the protection of riverine springs and other water catchment areas.

During the same period, MSC sponsored the "Save Kakamega Forest Half Marathon" that brought together about 300 runners. The aim of this run was to promote the conservation efforts for the Kakamega forest which is

among the few patches remaining of the great Central Africa Equatorial forest which used to stretch from Cameroon through Congo to East Africa. This was the second year that MSC was sponsoring this event.

MSC staff members have also been actively involved in cleaning of the environment. In the ended year, MSC staff members joined members of Bungoma and Kakamega county governments and community members in cleaning the towns within the two counties including Mumias Town.

4.0 Entrepreneurship and income generation

MSC has closely worked with farmers to ensure that their economic status is improvement. The promotion of cane farming as a business enterprise has ensured that farmers invest in more time and resources into their crop to avoid getting negative returns popularly referred to as "DR". To ensure that farmers have alternative source of income as they wait for proceeds from their cane, MSC has supported groups of farmers to engage in various types of income generating activities. Key among these is dairy farming and growing of soya beans. Others include fish farming, interlocking stabilized soil bricks, bee keeping and setting up outlets for MSC products in far flung villages.

5.0 Disaster Response and Recovery

MSC has continued to stand with communities whenever a calamity befalls them. In April, five students from Nambale Boys High School perished in a grisly road accident while on a school learning trip in the Rift Valley. MSC joined the family members and contributed towards their burial expenses.

In future, MSC plans to build the resilience capacity of the community through formation of disaster preparedness teams that will help in the formulation of Community Disaster Preparedness Plans. School children will also be trained on fighting fire and first aid.

Governance-related policy changes introduced in recent years have increased the focus on the need for directors to continually ensure that they are discharging their oversight responsibilities effectively. The Board continues to endeavour to ensure that good corporate governance practices are upheldin the Company's operations.

THE BOARD AND DIRECTORS

The current Composition of the Board is on page 6 of this report. As currently constituted, the Directors are convinced that the Board has the right people to lead and manage all aspects of the Company. The Board will continue to review the composition of the Board in order to address any skill gaps that may be identified including gender balance. The Board is sufficiently independent of Management and as and when required, the Board continues to get expert advice of critical matters. The Board held quarterly meetings to deliberate and make decisions on strategic issues affecting the Company.

BOARD AUDIT COMMITTEE

The Board Audit Committee comprises of Independent Directors in order for it to execute its mandate independently. As defined by its Charter, the Board has given mandate to the Audit Committee to consult with specialists or consultants to assist the Committee with the performance of its functions. As part of ensuring its oversight role, the Board receives reports from the Audit Committee on quarterly basis. Currently, the internal audit function is independent of Management operations. Through such independence, the Audit Committee and the Board are convinced that the appropriate skills and resources are committed to the internal audit process in order to deliver on expectations regarding the review of internal controls.

ETHICAL LEADERSHIP AND CORPORATE CITIZENSHIP

As a corporate citizen, the Company considers corporate citizenship, sustainability and stakeholder inclusivity as key pillars for the organization. Various Codes of Ethics and Conduct have been approved by the Board and employees and Directors are subjected to such Codes on a continuous basis. Policies are in place to guide every level of the business in terms of expected behaviours and practices. The Board also continues to monitor and address the corporate citizenship as well as sustainability risks.

GOVERNANCE OF RISK

The Company has a well elaborate Risk Management Framework that guides the management of risks in the organization. Risk awareness programs are held on continuous basis to help Managers manage the risks that are embedded in various operations. A multi-disciplinary team of well trained Risk Champions Network has been formed to help the organization in dealing with operational risks. Major risks have been identified and risk appetite/tolerance levels agreed upon between the Board and Management. Risk assessment is encouraged as a preventive risk management strategy. The Board continues to embed risk management in its strategic discussions/decisions.

GOVERNANCE OF INFORMATION TECHNOLOGY

The Board has approved an ICT governance framework that defines and supports decision models, governance structures, accountability and processes in the Company. A lot of investment has been made in ICT systems that are aimed at ensuring that IT drives the operations of the Company for competitive advantage. The Board has on a regular basis received progress reports on the progress, performance, control environment and value addition of the major IT projects.

COMPLIANCE WITH LAWS, RULES, CODES AND STANDARDS

The statutory and regulatory environment is ever changing thus putting a lot of compliance pressure on the Company. As part of addressing the risks of non compliance, the Company undertakes proactive legal audits to gauge compliance levels. A method of monitoring continued compliance as well as addressing identified gaps is in place.

INTERGRATED REPORTING AND DISCLOSURE

As an integrated organization, the Company continues to integrate development issues such as such as risk, environmental, legal and financial concerns into the strategy, policies and activities of the Company. In the course of the period under review, the Company appointed a Strategy and Reporting Advisor to advise the Board and Management on sustainability and integrated reporting matters.

ALTERNATIVE DISPUTE RESOLUTIONS

The Company continues to resolve any emerging disputes on mutual basis. Various ADR mechanisms are employed at various levels of our organization. Where such mechanisms have failed, the Company has sought other resolution measures through the courts of law. The key outstanding disputes and litigations that are considered to be of material impact are disclosed in this report. Arising from such disputes, the Company continues to review its operations on an ongoing basis in order to minimize disputes.

REMUNERATION OF DIRECTORS AND SENIOR EXECUTIVES

The remuneration of the Board Directors and Senior Executives is based on comparative remuneration in Company's of similar positioning. The Board believes that the remuneration packages currently in force are not excessive and rank lower than best practices in the job market. The staff salaries are disclosed in these accounts.

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements of the company for the year ended 30 June 2013, which shows its state of affairs.

PRINCIPAL ACTIVITIES

The principal activities of the company are the production and sale of sugar, ethanol, water and the generation and sale of electricity.

	Shs'000
RESULTS	
Profit before taxation	(2,235,999)
Taxation credit	566,283
Loss for the year	(1,669,716)

DIVIDENDS

The directors do not recommend payment of a dividend for the year (2012: Shs 0.50)

PRODUCTION

The following are the comparative statistics of cane processed and sugar production for the last five years:

	Cane Processed (Tonnes)	Sugar production (Tonnes)
2013	1,719,920	147,320
2012	1,917,340	174,005
2011	2,245,281	235,812
2010	2,318,080	235,792
2009	2,161,031	231,014

DIRECTORS

The current directors of the company are listed on page 6.

Mr S Bunyasi, Mr John Mruttu and Mr Kungu Gatabaki resigned as directors of the company during the year while Hon Amos Wako retired as a director during the year.They were replaced by Mr Nimrod Namenge, Mr James Opindi and Mrs Nancy Kaminchia during the Annual General Meeting held on 7 December 2012.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with Section 159 (2) of the Kenyan Companies Act.

BY ORDER OF THE BOARD

Secretary
2nd September 2013
Mumias

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its operating results for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Director

Director

2nd September 2013

Deloitte.

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INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF MUMIAS SUGAR COMPANY LIMITED

Report on the Financial Statements

We have audited the accompanying financial statements of Mumias Sugar Company Limited (the "company"), set out on pages 33 to 84 which comprise the statement of financial position as at 30 June 2013, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the company's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the company as at 30 June 2013 and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act, we report to you, based on our audit that:

i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
iii) the company's statement of financial position (balance sheet) and statement of comprehensive income (profit and loss account) are in agreement with the books of account.

Certified Public Accountants (Kenya)
Nairobi
Signed by: F o. Aloo

2 September 2012

STATEMENT OF COMPREHENSIVE INCOME

For the Year Ended 30 June 2013

	Note	2013 Shs'000	2012 Shs'000
Revenue	4	11,957,823	15,542,686
Fair value/(loss) gain on biological assets	16	(13,781)	5,678
Operating income		11,944,042	15,548,364
Cost of sales		(10,395,794)	(11,060,657)
Gross profit		1,548,248	4,487,707
Other operating income		237,286	133,031
Marketing and distribution costs		(870,920)	(733,345)
Administrative expenses		(1,939,560)	(1,567,202)
Other operating expenses		(880,401)	(825,547)
Finance income	5(a)	394,336	411,023
Finance costs	5(b)	(724,988)	(141,638)
(Loss)/Profit before taxation	6	(2,235,999)	1,764,029
Taxation credit	8	566,283	248,650
(Loss)/Profit for the year		(1,669,716)	2,012,679
OTHER COMPREHENSIVE INCOME			
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		(1,669,716)	2,012,679
		Shs	Shs
(Loss)/Earnings per share - basic & diluted	9	(1.09)	1.32

Statement of Financial Position

At 30 June 2013

	Note	2013 Shs'000	2012 Shs'000
ASSETS			
Non current assets			
Property, plant and equipment	11	19,615,082	19,810,560
Intangible assets	12	315,676	206,603
Non current receivables	14	157,695	150,090
		20,088,453	20,167,253
Current assets			
Inventories	15	2,463,064	1,676,088
Biological assets	16	219,378	191,093
Trade and other receivables	17	3,765,866	4,584,048
Taxation recoverable	8(c)	183,102	200,214
Collateral deposit	18	301,925	294,817
Short term deposits	19	-	51,797
Quoted investments – At fair value through profit or loss	20	44,106	35,240
Cash and bank balances		70,923	138,063
		7,048,364	7,171,360
Non current assets held for sale	21	11,576	61,500
		7,059,940	7,232,860
Total assets		27,148,393	27,400,113
EQUITY AND LIABILITIES			
Equity			
Share capital	22	3,060,000	3,060,000
Revaluation surplus		3,173,432	3,350,880
Retained earnings		7,055,538	9,312,806
Shareholders' equity		13,288,970	15,723,686
Non current liabilities			
Deferred income taxation liability	23	2,443,472	3,027,494
Provision for service gratuity	24(a)	10,464	2,747
Deferred grant income	25	15,379	-
Long term borrowings	26	2,981,335	2,925,531
		5,450,650	5,955,772
Current liabilities			
Borrowings	26	3,058,448	2,463,448
Trade and other payables	27	4,844,672	2,928,017
Provision for service gratuity	24(a)	5,652	1,201
Provision for staff leave pay	28	43,626	28,552
Unclaimed dividends	10(b)	456,375	299,437
		8,408,773	5,720,655
Total equity and liabilities		27,148,393	27,400,113

The financial statements on pages 33 to 84 were approved and authorised for issue by the board of directors on 2nd September 2013 and were signed on its behalf by:

Director

Director

Statement of Changes in Equity

For the Year Ended 30 June 2013

	Share capital Shs'000	Revaluation surplus Shs'000	Retained earnings Shs'000	Total Shs'000
At 1 July 2011	3,060,000	3,552,456	7,863,551	14,476,007
Total comprehensive income for the year	-	-	2,012,679	2,012,679
Final dividend declared - 2011	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(70,938)	70,938	-
Deferred taxation transferred on disposal of equipment	-	21,281	(21,281)	-
Transfer of excess depreciation	-	(217,028)	217,028	-
Deferred taxation on excess depreciation	-	65,109	(65,109)	-
At 30 June 2012	3,060,000	3,350,880	9,312,806	15,723,686
At 1 July 2012	3,060,000	3,350,880	9,312,806	15,723,686
Total comprehensive loss for the year	-	-	(1,669,716)	(1,669,716)
Final dividend declared - 2012	-	-	(765,000)	(765,000)
Transfer on disposal of equipment	-	(30,653)	30,653	-
Deferred taxation transferred on disposal of equipment	-	9,196	(9,196)	-
Transfer of excess depreciation	-	(222,845)	222,845	-
Deferred taxation on excess depreciation	-	66,854	(66,854)	-
At 30 June 2013	3,060,000	3,173,432	7,055,538	13,288,970

The revaluation surplus represents the net cumulative surplus arising from revaluation of property, plant and equipment net of deferred taxation. The revaluation surplus is non-distributable.

STATEMENT OF CASH FLOWS

For the Year Ended 30 June 2013

	Note	2013 Shs'000	2012 Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Net cash generated from operations	29(a)	1,332,306	1,913,291
Interest paid		(729,861)	(197,783)
Interest received		394,336	411,023
Other finance charges paid		(63,710)	(10,569)
Taxation paid	8(c)	(627)	(1,410)
Net cash generated from operating activities		932,444	2,114,552
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property, plant and equipment	11	(1,216,026)	(4,392,139)
Additions to intangible assets	12	(19,893)	(44,455)
Proceeds on disposal of non-current assets held for sale		1,865	42,158
Proceeds on disposal of motor vehicles		-	517
Net cash used in investing activities		(1,234,054)	(4,393,919)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend paid	10(b)	(608,062)	(748,523)
Loans received	29(b)	2,726,346	1,973,773
Loans repaid	29(b)	(1,492,145)	(882,507)
Kenya Sugar Board grant received	25	15,379	-
Net cash generated from financing activities		641,518	342,743
NET INCREASE/ (DECREASE) IN CASH AND CASH EQUIVALENTS		339,908	(1,936,624)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR		(1,280,189)	656,435
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	29(c)	(940,281)	(1,280,189)

NOTES

1 PRINCIPAL ACCOUNTING POLICIES

a) Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan Companies Act reporting purposes, in these financial statements, the balance sheet is represented by/equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

b) Application of new and revised International Financial Reporting Standards (IFRSs)

(i) *New standards and amendments to published standards effective for the year ended 30 June 2013*

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IFRS 7 Disclosures – Transfers of Financial Assets	The amendments to IFRS 7 increase the disclosure requirements for transactions involving transfers of financial assets. These amendments are intended to provide greater transparency around risk exposures of transactions where a financial asset is transferred but the transferor retains some level of continuing exposure in the asset The application of the amendment had no effect on the company's financial statements as the company did not transfer any such financial assets during the year.
Amendments to IAS 12 Deferred Tax, Recovery of Underlying Assets	The amendments to IAS 12 provide an exception to the general principle set out in IAS 12, Income Taxes, that the measurement of deferred tax should reflect the manner in which an entity expects to recover the carrying amount of an asset. Specifically, the amendments establish a rebuttable presumption that the carrying amount of an investment property measured using the fair value model in IAS 40, Investment Property, will be recovered entirely through sale. The amendments were issued in response to concerns that application of IAS 12's general approach can be difficult or subjective for investment property measured at fair value because it may be that the entity intends to hold the asset for an indefinite or indeterminate period of time, during which it anticipates both rental income and capital appreciation. The application of the amendment had no impact on the company's investment properties as the company intends to hold the investment properties over an indefinite period of time.
Amendments to IFRS 1 Severe Hyperinflation	The amendments regarding severe hyperinflation provide guidance for entities emerging from severe hyperinflation either to resume presenting IFRS financial statements or to present IFRS financial statements for the first time The amendments had no effect on the company's financial statements as the company did not operate in a hyper-inflationary environment.
Amendment to IFRS 1: Removal of fixed dates for first time adopters	The amendments regarding the removal of fixed dates provide relief to first time adopters of IFRS's for reconstructing transactions that occurred before the dates of transition to IFRSs.
	The amendment had no effect on the company as it is not a first time adopter of IFRS.

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(i) New standards and amendments to published standards effective for the year ended 30 June 2013 (cont'd)

- **Presentation of Items of Other Comprehensive Income (Amendments to IAS 1)**

These amend IAS 1, Presentation of Financial Statements, to revise the way other comprehensive income is presented.

The amendments:

- Preserve the amendments made to IAS 1 in 2007 to require profit or loss and other comprehensive income to be presented together, i.e. either as a single 'statement of profit or loss and comprehensive income', or a separate 'statement of profit or loss' and a 'statement of comprehensive income' – rather than requiring a single continuous statement.
- Require entities to group items presented in other comprehensive income based on whether they are potentially reclassifiable to profit or loss subsequently i.e. those that might be reclassified and those that will not be reclassified.
- Require tax associated with items presented before tax to be shown separately for each of the two groups of other comprehensive income items (without changing the option to present items of other comprehensive income either before tax or net of tax).

The above amendments are generally effective for annual periods beginning on or after 1 July 2012. The company has applied the amendments. Other than presentation, there has been no material impact to the company's financial statements.

- **Deferred Tax: Recovery of Underlying Assets (Amendments to IAS 12)**

These amend IAS 12, Income Taxes, to provide a presumption that recovery of the carrying amount of an asset measured using the fair value model in IAS 40, Investment Property, will normally be through sale. As a result of the amendments, SIC-21, Income Taxes — Recovery of Revalued Non-Depreciable Assets, would no longer apply to investment properties carried at fair value. The amendments also incorporate into IAS 12 the remaining guidance previously contained in SIC-21, which is accordingly withdrawn.

The above amendments are generally effective for annual periods beginning on or after 1 January 2012. The company will apply this amendment prospectively. The directors anticipate no material impact to the company's financial statements currently as the company does not have investment properties. However, the company would have to apply this standard to any such arrangements entered into in the future

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(ii) New and amended standards and interpretations in issue but not yet effective in the year ended 30 June 2013

New and amendments to standards	Effective for annual periods beginning on or after
IFRS 9, Financial Instruments	1 January 2015
IFRS 10, Consolidated Financial Statements	1 January 2013
IFRS 11, Joint Arrangements	1 January 2013
IFRS 12, Disclosure of Interests in Other Entities	1 January 2013
IFRS 13, Fair Value Measurement	1 January 2013
Amendments to IFRS 7 Disclosures - Offsetting Financial Assets and Financial Liabilities	1 January 2013
Amendments to IFRS 9 and IFRS 7 Mandatory Effective Date of IFRS 9 and Transition Disclosures	1 January 2015
Amendments to IFRS 10, IFRS 11 and IFRS 12 Consolidated Financial Statements, Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance	1 January 2013
IAS 19, Employee Benefits (as revised in 2011)	1 January 2013
IAS 27, Separate Financial Statements (as revised in 2011)	1 January 2013
IAS 28, Investments in Associates and Joint Ventures (as revised in 2011)	1 January 2013
IAS 32, Financial Instruments: Presentation – Amendments to application guidance on the offsetting of financial assets and financial liabilities	1 January 2014
Annual Improvements to IFRSs 2009-2011 Cycle	1 January 2013
New interpretation	
IFRIC 20 Stripping Costs in the Production Phase of a Surface Mine	1 January 2013
IFRIC 21 Levies	1 January 2014

NOTES (CONT'D)

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013

- **IFRS 9, Financial Instruments**

IFRS 9 issued in November 2009 introduces new requirements for the classification and measurement of financial assets. IFRS 9 amended in October 2010 includes the requirements for the classification and measurement of financial liabilities and for derecognition.

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2015, with earlier application permitted. The directors anticipate that IFRS 9 will be adopted in the company's financial statements for the annual period beginning 1 January 2015 and that the application of IFRS 9 will not have a significant impact on amounts reported in respect of the company's financial assets and financial liabilities because currently, the company only has simple financial instruments whose measurements will not be affected by this standard.

- **IFRS 10, Consolidated financial statements**

Requires a parent to present consolidated financial statements as those of a single economic entity, replacing the requirements previously contained in IAS 27 *Consolidated and Separate Financial Statements and SIC-12 Consolidation - Special Purpose Entities.*

The Standard identifies the principles of control, determines how to identify whether an investor controls an investee and therefore must consolidate the investee, and sets out the principles for the preparation of consolidated financial statements.

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013 (cont'd)

The Standard introduces a single consolidation model for all entities based on control, irrespective of the nature of the investee (i.e. whether an entity is controlled through voting rights of investors or through other contractual arrangements as is common in 'special purpose entities'). Under IFRS 10, control is based on whether an investor has:

- Power over the investee
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect the amount of the returns.

- **IFRS 11, Joint arrangements**

Replaces IAS 31 *Interests in Joint Ventures.* Requires a party to a joint arrangement to determine the type of joint arrangement in which it is involved by assessing its rights and obligations and then account for those rights and obligations in accordance with that type of joint arrangement.
Joint arrangements are either joint operations or joint ventures:

- A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement (joint operators) have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint operators recognise their assets, liabilities, revenue and expenses in relation to its interest in a joint operation (including their share of any such items arising jointly)

- A joint venture is a joint arrangement whereby the parties that have joint control of the arrangement (joint venturers) have rights to the net assets of the arrangement. A joint venturer applies the equity method of accounting for its investment in a joint venture in accordance with IAS 28 *Investments in Associates and Joint Ventures* (2011). Unlike IAS 31, the use of 'proportionate consolidation' to account for joint ventures is not permitted.

- **IFRS 12, Disclosure of interests in other entities**

Requires the extensive disclosure of information that enables users of financial statements to evaluate the nature of, and risks associated with, interests in other entities and the effects of those interests on its financial position, financial performance and cash flows.
In high-level terms, the required disclosures are grouped into the following broad categories:

- **Significant judgements and assumptions** - such as how control, joint control, significant influence has been determined
- **Interests in subsidiaries** - including details of the structure of the group, risks associated with structured entities, changes in control, and so on
- **Interests in joint arrangements and associates** - the nature, extent and financial effects of interests in joint arrangements and associates (including names, details and summarised financial information)
- **Interests in unconsolidated structured entities** - information to allow an understanding of the nature and extent of interests in unconsolidated structured entities and to evaluate the nature of, and changes in, the risks associated with its interests in unconsolidated structured entities

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013 (cont'd)

IFRS 12 lists specific examples and additional disclosures which further expand upon each of these disclosure objectives, and includes other guidance on the extensive disclosures required.

- **IFRS 13, Fair Value Measurements**

IFRS 13 replaces the guidance on fair value measurement in existing IFRS accounting literature with a single standard. The IFRS is the result of joint efforts by the IASB and FASB to develop a converged fair value framework. The IFRS defines fair value, provides guidance on how to determine fair value and requires disclosures about fair value measurements. However, IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value.

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures about fair value measurements (and measurements, such as fair value less costs to sell, based on fair value or disclosures about those measurements).

With some exceptions, the standard requires entities to classify these measurements into a 'fair value hierarchy' based on the nature of the inputs:
- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly; and
- Level 3 - unobservable inputs for the asset or liability.

IFRS 13 is effective for annual periods beginning on or after 1 January 2013, with earlier application permitted.

The directors anticipate that IFRS 13 will be adopted in the company's financial statements for the annual period beginning 1 January 2013 and that the application of the new Standard will result in more extensive disclosures in the financial statements.

- **IAS 19 (as revised in 2011)- Employee Benefits**

An amended version of IAS 19 Employee Benefits with revised requirements for pensions and other post-retirement benefits, termination benefits and other changes.
The key amendments include:
- Requiring the recognition of changes in the net defined benefit liability (asset) including immediate recognition of defined benefit cost, disaggregation of defined benefit cost into components, recognition of remeasurements in other comprehensive income, plan amendments, curtailments and settlements (eliminating the 'corridor approach' permitted by the existing IAS 19)
- Introducing enhanced disclosures about defined benefit plans
- Modifying accounting for termination benefits, including distinguishing benefits provided in exchange for service and benefits provided in exchange for the termination of employment and affect the recognition and measurement of termination benefits
- Clarifying various miscellaneous issues, including the classification of employee benefits, current estimates of mortality rates, tax and administration costs and risk-sharing and conditional indexation features
- Incorporating other matters submitted to the IFRS Interpretations Committee.

MUMIAS SUGAR COMPANY LIMITED
FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2013

NOTES (CONT'D)

1 PRINCIPAL ACCOUNTING POLICIES (cont'd)

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013 (cont'd)

The amendments to IAS 19 are effective for annual periods beginning on or after 1 January 2013 and require retrospective application with certain exceptions. The amendments to IAS 19 will be adopted in the company's financial statements for the financial year ending 30 June 2014. During the year ended 30 June 2013, the net asset arising from the defined benefit obligation was Shs 55,000,000 which has not been recognised in these financial statements. The impact of the retrospective application will be to increase the assets of the company by Shs 55,000,000.

- **IAS 27 Separate Financial Statements (2011)**

Amended version of IAS 27 which now only deals with the requirements for separate financial statements, which have been carried over largely unchanged from IAS 27 Consolidated and Separate Financial Statements. Requirements for consolidated financial statements are now contained in IFRS 10 Consolidated Financial Statements.
The Standard requires that when an entity prepares separate financial statements, investments in subsidiaries, associates, and jointly controlled entities are accounted for either at cost, or in accordance with IFRS 9 Financial Instruments / IAS 39 Financial Instruments: Recognition and Measurement.

The Standard also deals with the recognition of dividends, certain group reorganisations and includes a number of disclosure requirements.

- **IAS 28 Investments in Associates and Joint Ventures (2011)**

This Standard supersedes IAS 28 Investments in Associates and prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates and joint ventures.

The Standard defines 'significant influence' and provides guidance on how the equity method of accounting is to be applied (including exemptions from applying the equity method in some cases). It also prescribes how investments in associates and joint ventures should be tested for impairment.

- **Disclosures — Offsetting Financial Assets and Financial Liabilities (Amendments to IFRS 7)**

Amends the disclosure requirements in IFRS 7 Financial Instruments: Disclosures to require information about all recognised financial instruments that are set off in accordance with paragraph 42 of IAS 32 Financial Instruments: Presentation.
The amendments also require disclosure of information about recognised financial instruments subject to enforceable master netting arrangements and similar agreements even if they are not set off under IAS 32. The IASB believes that these disclosures will allow financial statement users to evaluate the effect or potential effect of netting arrangements, including rights of set-off associated with an entity's recognised financial assets and recognised financial liabilities, on the entity's financial position.

- **Offsetting Financial Assets and Financial Liabilities (Amendments to IAS 32)**

Amends IAS 32 Financial Instruments: Presentation to clarify certain aspects because of diversity in application of the requirements on offsetting, focused on four main areas:
- the meaning of 'currently has a legally enforceable right of set-off'
- the application of simultaneous realisation and settlement

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (Continued)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013 (cont'd)

- the offsetting of collateral amounts
- the unit of account for applying the offsetting requirements.

- **Government Loans (Amendments to IFRS 1)**

Amends IFRS 1 First-time Adoption of International Financial Reporting Standards to address how a first-time adopter would account for a government loan with a below-market rate of interest when transitioning to IFRSs. The amendments mirror the requirements for existing IFRS preparers in relation to the application of amendments made to IAS 20 Accounting for Government Grants and Disclosure of Government Assistance in relation to accounting for government loans.

First-time adopters of IFRSs are permitted to apply the requirements in paragraph 10A of IAS 20 only to new loans entered into after the date of transition to IFRSs. The first-time adopter is required to apply IAS 32 Financial Instruments: Presentation to classify the loan as a financial liability or an equity instrument at the transition date. However, if it did not, under its previous GAAP, recognise and measure a government loan at a below-market rate of interest on a basis consistent with IFRS requirements, it would be permitted to apply the previous GAAP carrying amount of the loan at the date of transition as the carrying amount of the loan in the opening IFRS statement of financial position. An entity would then apply IAS 39 or IFRS 9 in measuring the loan after the transition date.

- **Annual Improvements 2009-2011 Cycle**

Makes amendments to the following standards:

- IFRS 1 — Permit the repeated application of IFRS 1, borrowing costs on certain qualifying assets
- IAS 1 — Clarification of the requirements for comparative information
- IAS 16 — Classification of servicing equipment
- IAS 32 — Clarify that tax effect of a distribution to holders of equity instruments should be accounted for in accordance with IAS 12 Income Taxes
- IAS 34 — Clarify interim reporting of segment information for total assets in order to enhance consistency with the requirements in IFRS 8 Operating Segments

- **Consolidated Financial Statements, Joint Arrangements and Disclosure of Interests in Other Entities: Transition Guidance**

Amends IFRS 10 Consolidated Financial Statements, IFRS 11 Joint Arrangements and IFRS 12 Disclosure of Interests in Other Entities to provide additional transition relief in by limiting the requirement to provide adjusted comparative information to only the preceding comparative period. Also, amendments to IFRS 11 and IFRS 12 eliminate the requirement to provide comparative information for periods prior to the immediately preceding period.

- **Investment Entities (Amendments to IFRS 10, IFRS 12 and IAS 27)**

Amends IFRS 10 Consolidated Financial Statements, IFRS 12 Disclosure of Interests in Other Entities and IAS 27 Separate Financial Statements to:

- provide 'investment entities' (as defined) an exemption from the consolidation of particular subsidiaries and instead require that an investment entity measure the investment in each eligible subsidiary at fair value through profit or loss in accordance with IFRS 9 Financial Instruments or IAS 39 Financial Instruments:

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (cont'd)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013 (cont'd)

Recognition and Measurement

- require additional disclosure about why the entity is considered an investment entity, details of the entity's unconsolidated subsidiaries, and the nature of relationship and certain transactions between the investment entity and its subsidiaries
- require an investment entity to account for its investment in a relevant subsidiary in the same way in its consolidated and separate financial statements (or to only provide separate financial statements if all subsidiaries are unconsolidated).

- **Recoverable Amount Disclosures for Non-Financial Assets (Amendments to IAS 36)**

Amends IAS 36 Impairment of Assets to reduce the circumstances in which the recoverable amount of assets or cash-generating units is required to be disclosed, clarify the disclosures required, and to introduce an explicit requirement to disclose the discount rate used in determining impairment (or reversals) where recoverable amount (based on fair value less costs of disposal) is determined using a present value technique.

- ***Novation of Derivatives and Continuation of Hedge Accounting' (Amendments to IAS 39)***

Amends IAS 39 Financial Instruments: Recognition and Measurement make it clear that there is no need to discontinue hedge accounting if a hedging derivative is novated, provided certain criteria are met.

A novation indicates an event where the original parties to a derivative agree that one or more clearing counterparties replace their original counterparty to become the new counterparty to each of the parties. In order to apply the amendments and continue hedge accounting, novation to a central counterparty (CCP) must happen as a consequence of laws or regulations or the introduction of laws or regulations.

- **Stripping Costs in the Production Phase of a Surface Mine**

Clarifies the requirements for accounting for stripping costs associated with waste removal in surface mining, including when production stripping costs should be recognised as an asset, how the asset is initially recognised, and subsequent measurement.

The Interpretation requires stripping activity costs which provide improved access to ore are recognised as a non-current 'stripping activity asset' when certain criteria are met. The stripping activity asset is depreciated or amortised on a systematic basis, over the expected useful life of the identified component of the ore body that becomes more accessible as a result of the stripping activity, using the units of production method unless another method is more appropriate.

- **IFRIC 21 Levies**

Provides guidance on when to recognise a liability for a levy imposed by a government, both for levies that are accounted for in accordance with IAS 37 Provisions, Contingent Liabilities and Contingent Assets and those where the timing and amount of the levy is certain.

The Interpretation identifies the obligating event for the recognition of a liability as the activity that triggers the payment of the levy in accordance with the relevant legislation. It provides the following guidance on recognition of a liability to pay levies:

NOTES (CONT'D)

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

b) Application of new and revised International Financial Reporting Standards (IFRSs) (cont'd)

(iii) Impact of relevant new and revised IFRSs in issue but not yet effective for the year ended 30 June 2013 (cont'd)

- The liability is recognised progressively if the obligating event occurs over a period of time
- If an obligation is triggered on reaching a minimum threshold, the liability is recognised when that minimum threshold is reached.

iv) Early adoption of standards

The company did not early-adopt any new or amended standards in 2013.

Basis of preparation

The financial statements have been prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets.

The principal accounting policies adopted in the preparation of these financial statements remain unchanged from the previous year and are set out below:

Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for estimated customer returns, rebates and other similar allowances.

Revenue from the sale of sugar, molasses, water and ethanol is recognised when all the following conditions are satisfied and are stated net of Value Added Tax, Sugar Development Levy, excise duty and discounts:

- the company has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the company retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

Sugar Development Levy does not apply to export sugar and molasses sales. Value Added Tax does not apply to export sugar sales as well as sales to exempted entities.

(i) Sale of electricity

Revenue from electricity sales is recognised based on kilowatt hours (KWH) of power exported to the national grid and capacity charges as provided for under a Power Purchase Agreement (PPA) with the Kenya Power Company Limited.

(ii) Interest income

Interest income is recognised when it is probable that the economic benefits will flow to the company and the amount of revenue can be measured reliably. Interest income is accrued on a time basis, by reference to

MUMIAS SUGAR COMPANY LIMITED
FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2013

NOTES (CONT'D)

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Revenue recognition (cont'd)

the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

(iii) Other income

All other income earned by the company is recognised on the accruals basis.

Foreign currencies

Transactions in currencies other than the Kenya Shilling are translated at the rates of exchange prevailing on the dates of the transactions. At the end of each reporting period, monetary assets and liabilities that are denominated in foreign currencies are translated at the rates prevailing at the end of the reporting period. Gains and losses arising on translation are included in profit or loss for the period.

Exchange differences on monetary items are recognised in profit or loss in the period in which they arise except for exchange differences on foreign currency borrowings relating to assets under construction for future productive use, which are included in the cost of those assets when they are regarded as an adjustment to interest costs on those foreign currency borrowings.

Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, these being assets that necessarily take a substantial period of time to get ready for their intended use, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

Deferred grant income

Grants related to acquisition of equipment are accounted for as deferred income and are recognised through profit or loss on a systematic basis over the useful life of the equipment.

Taxation

Income taxation expense represents the sum of current taxation and deferred taxation.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred income taxation is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income taxation.

Property, plant and equipment

Property, plant and equipment are initially recorded at cost. All property, plant and equipment except motor vehicles are subsequently shown at their revalued amounts based on valuations by external independent valuers, less accumulated depreciation and any

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Property, plant and equipment (cont'd)

accumulated impairment losses. Valuations are done carried out by independent professional valuers. The basis of the valuation is open market value.

Revaluations are performed with sufficient regularity such that the carrying amount does not differ from that when would be determined using fair values at the end of the reporting period

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amounts and are taken into account in determining the profit before taxation. On disposal of revalued assets, amounts in the revaluation surplus relating to that asset are transferred to retained earnings.

The carrying values of property, plant and equipment are reviewed annually and adjusted for impairment where it is considered necessary.

Any revaluation increase arising on the revaluation is recognised in other comprehensive income, except to the extent that it reverses a revaluation decrease for the same asset previously recognised in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in the carrying amount arising on the revaluation of such property, plant and equipment is recognised in profit or loss to the extent that it exceeds the balance, if any, held in the property revaluation reserve relating to a previous revaluation of that asset.

Depreciation

Depreciation is calculated on the straight-line method to write off the cost or the revalued amount of each asset to its estimated residual value over its estimated useful life. The annual rates used are:

Land development	2½%
Buildings	2½% - 5%
Factory plant and machinery	5% - 10%
Heavy mobile machinery	12½% - 25%
Motor vehicles	20% - 331/3%
Other equipment and fixtures	12½% - 331/3%

The annual depreciation on the revaluation surplus element of property, plant and equipment is transferred from the revaluation surplus to retained earnings.

Intangible assets

Computer software

Intangible assets comprise the cost of acquired computer software programmes. Expenditure on acquired computer software programmes is capitalised and amortised using the straight-line method over their estimated useful lives, generally not exceeding three years. The carrying amount of intangible assets is reviewed annually and adjusted for any impairment losses. Intangible assets are not revalued.

Research and development expenditure

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally generated intangible asset arising from development (or from the developmental phase of an internal project) is recognised if and only if, all of the following have been demonstrated:

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Intangible assets (cont'd)

Research and development expenditure (cont'd)

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- the ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for an internally - generated intangible asset is the sum of the expenditure incurred from the date when the intangible asset first meets recognition criteria listed above. Where no internally - generated intangible asset can be recognised, development expenditure is charged through profit or loss in the period in which it is incurred.

Inventories

Finished sugar, molasses, water and ethanol inventories are stated at the lower of production cost and net realisable value. Production cost comprises expenditure directly incurred in the manufacturing process and an allocation of normal production overheads attributable to the process. Net realisable value represents the estimated selling price less all estimated costs of completion and the estimated costs necessary to make the sale.

Spares, fertilisers, chemicals and other consumable stores are stated at cost net of provisions for impairment where applicable. Cost is calculated on the weighted average cost basis and includes the purchase price, import duties and other taxes (other than those subsequently recoverable by the company from the taxation authorities), and transport, handling and other costs directly attributable to the acquisition of the item.

Biological assets

Biological assets (cane plantations) and agricultural produce (harvested cane) are stated at their fair values less estimated costs to sale.

The fair value of growing cane is determined based on the present value of expected net cash flows. The fair value of harvested cane is determined based on the prices of cane existing in the market less estimated point of sale costs

Immature growing cane is valued at cost.

Non-current assets held for sale

Non-current assets are classified as held for sale if their carrying amount will be principally recovered through a sale transaction rather than through continuing use. This condition is regarded as met only when the sale is highly probable and the asset is available for sale in its present condition. Management must be committed to the sale, which should be expected to qualify for recognition as a completed sale within one year from the date of classification. Non-current assets classified as held for sale are measured at the lower of the asset's previous carrying amount and the fair value less costs to sell.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the company as a lessee. All other leases are classified as operating leases.

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Leases (cont'd)

Company as a lessor

Rental income from operating leases is recognized on the straight line basis over the term of the relevant lease.

Company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight-line basis over the term of the relevant lease. Any payment required to be made to the lessor by way of penalty, for termination of leases before the expiry of the lease period, is recognised in the year in which termination takes place.

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Cash and cash equivalents

For the purpose of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired; less advances from banks repayable within three months from the date of the advance.

Financial instruments

Financial assets and financial liabilities are recognised in the company's statement of financial position when the company becomes a party to the contractual provisions of the instrument.

Financial assets

Classification

The company classifies its financial assets into the following categories: Financial assets at fair value through profit or loss; loans and receivables; held-to-maturity assets; and, available-for-sale assets. Management determines the appropriate classification of its financials assets at initial recognition.

Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. The company's investment in quoted equity shares falls under this category.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the company provides money, goods or services directly to a debtor with no intention of trading the receivable. Bad debts are written off when all reasonable steps to recover them have failed. Objective evidence of impairment for a portfolio of receivables could include the Company's past experience of collecting payments, an increase in number of delayed payments in the portfolio past average credit period as well as observable changes in national or economic conditions that correlate with default on receivables. The company's trade and other receivables as well as cash and bank balances fall under this category.

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Financial assets (cont'd)

Classification (cont'd

Held to maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available-for-sale. The collateral and the term deposits fall under this category.

Available-for-sale financial assets

This category represents financial assets that are not (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held-to-maturity.

Recognition

Financial assets are initially recognised at fair value plus directly attributable transaction costs for all financial assets not carried at fair value through profit or loss.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are dealt with in profit or loss in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised in other comprehensive income and accumulated in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in profit or loss.

Derecognition

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership. If the company neither transfers nor retains all the risks and rewards

If the company neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the company recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the company retains substantially all the risks and rewards of ownership of a transferred financial asset, the company continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

Financial liabilities

Financial liabilities are classified as either financial liabilities 'at fair value through profit or loss' or 'other financial liabilities'. Financial liabilities are initially measured at fair value plus, in the case of a financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issue of the financial liability. Financial liabilities are derecognised when the obligation specified in the contract is discharged or cancelled or expire.

Other financial liabilities

Other financial liabilities, including borrowings and trade and other payables, are initially measured at fair value, net of directly attributable transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis. The company's key other financial liabilities are:

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Financial liabilities (cont'd)

Bank borrowings

Interest bearing loans and overdrafts are recorded at the proceeds received, net of direct costs. Finance charges, including premiums payable on settlement or redemption, are accounted for on the accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Trade and other payables

Trade and other payables are stated at their nominal value which approximates amortised cost.

Impairment

At the end of each reporting period, the company reviews the carrying amounts of its financial assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss is recognised through profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately through profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

Retirement benefits obligations

Defined benefit scheme

The company operates a defined benefit post employment scheme for eligible non unionisable employees. The scheme is funded by contributions from both employer and employee. The assets of the scheme are held and administered independently of the company's assets.

The cost of providing benefits for the defined benefit scheme is determined using the Projected Unit Credit Method, with actuarial valuations being carried out every three years. Actuarial gains and losses that exceed 10 per cent of the greater of the present value of the company's defined benefit obligation and the fair value of plan assets as at the end of the prior year are amortised over the expected average remaining working lives of the participating employees. Past service cost is recognised immediately to the extent that the benefits are already vested, and otherwise is amortised on a straight-line basis over the average period until the benefits become vested.

The net retirement benefit obligation represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and as reduced by the fair value of plan assets. Any asset resulting from this calculation is limited to unrecognised actuarial losses and past service cost, plus the present value of available refunds and reductions in future contributions to the plan.

Defined contribution schemes

The company operates a defined contribution provident fund for eligible unionisable employees. The fund is administered independently of the company's assets. It is funded by contributions from the company and employees. The company has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The company's contributions to the fund are charged to profit or loss in the year to which they relate.

1 PRINCIPAL ACCOUNTING POLICIES *(cont'd)*

Retirement benefits obligations (cont'd)

Defined contribution schemes (cont'd)

The company and its employees also contribute to the statutory National Social Security Fund, which is a defined contribution scheme. The company's obligation is limited to a specified contribution per employee per month. Currently, the contribution is limited to a maximum of Sh 200 per employee per month. The company's contributions are charged through profit or loss in the year to which they relate.

Contract gratuity

The company has fixed term service contracts with some of the employees. A contract gratuity of 25% of the basic pay earned over the contract period is paid at the end of the contract. The monetary liability is accrued at the end of each year based on the completed period of service.

Employee benefits

Bonus scheme

The company operates a bonus scheme for its employees. The bonus is recognised upon attainment of set annual performance targets and is recognised in the period in which the services were rendered.

Restructuring and rationalisation provisions

Restructuring and rationalisation provisions mainly comprise employee termination payments and are recognised in the period in which the company becomes legally or constructively committed to payment.

Provision for staff leave pay

A provision is made to recognise staff entitlements in respect of annual leave not taken as at the end of the financial year.

Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared and appropriately authorized.

Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

2 CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION AND UNCERTAINTY IN APPLYING THE ENTITY'S ACCOUNTING POLICIES

In the process of applying the company's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The judgements, estimates and associated assumptions are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period or in the period of the revision and future periods if the revision affects both current and future periods. These are dealt with below:

(i) Critical judgements in applying the company's accounting policies

Held to maturity investments

The company follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity financial assets. This classification requires significant judgement. In making this judgement, the company evaluates its intention and ability to hold such investments to maturity. If the company fails to keep these assets to maturity, for example selling a more than insignificant amount close to maturity, it will be required to classify the entire class as available-for-sale. The assets would therefore have to be measured at fair value and not amortised cost with the difference arising from this change in valuation being a corresponding entry to a fair value reserve in shareholders' equity.

(ii) Key sources of estimation and uncertainty

Biological assets

In determining the fair value of biological assets, management uses estimates based on historical data relating to yields and prices of sugar. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce potential differences between estimates and actual experience. The significant assumptions used are set out in note 16.

Property, plant and equipment and intangible assets

Critical estimates are made by the management in determining the useful lives of property, plant and equipment and intangible assets. This is the basis on which the depreciation and amortization rates applied on property, plant and equipment and intangible assets respectively are determined.

Impairment

Determining whether assets are impaired requires an estimation of the value of the assets.

Contingent liabilities

The company is exposed to various contingent liabilities in the normal course of business. Management evaluates the status of these exposures on a regular basis to assess the probability of the company incurring related liabilities. However, provisions are only made in the financial statements where, based on the management's evaluation, a present obligation has been established.

3 SEGMENTAL INFORMATION

a) Products and services from which reportable segments derive their revenues

Information reported to the company's chief operating decision maker (the Managing Director) for the purposes of resource allocation and assessment of segment performance is focussed on the principal activities of the company.

The company defines its reportable operating segments on the basis of products as indicated below;

- Sugar segment which primarily produces and sells sugar.
- Energy segment which generates electricity from bagasse (a by product of sugar production) for sale to the Kenya Power and Lighting Company Limited.
- Ethanol segment which primarily produces and sells ethanol.
- Water segment which bottles drinking water for sale

b) Segment revenues and results, assets and liabilities

	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Water Shs'000	Total Shs'000
At 30 June 2013					
Revenue from customers	11,293,595	305,360	330,505	28,364	11,957,823
Intersegment sales	(83,179)	153,000	(69,821)	-	-
	11,210,416	458,360	260,684	28,364	11,957,823
Cost of sales	9,516,891	439,490	316,028	123,385	10,395,794
Fair value changes on biological assets	(13,781)	-	-	-	(13,781)
Profit before tax	(1,617,975)	(269,884)	(171,078)	(177,062)	(2,235,999)
Finance costs	(357,240)	(119,842)	(252,779)	-	(729,861)
Finance income	380,387	1,139	-	-	381,526
Depreciation and amortization	(652,929)	(264,864)	(248,129)	(23,455)	(1,189,377)
Segment EBITDA	(227,419)	115,961	329,830	(153,607)	64,765
Segment assets	16,481,455	5,371,264	5,037,294	438,460	27,328,473
Segment liabilities	5,323,136	3,095,684	5,306,882	615,522	14,341,224

NOTES (CONT'D)

3 SEGMENTAL INFORMATION (cont'd)

b) Segment revenues and results, assets and liabilities

	Sugar Shs'000	Energy Shs'000	Ethanol Shs'000	Total Shs'000
At 30 June 2012				
Revenue from customers	15,105,886	435,300	1,500	15,542,686
Intersegment sales	(151,070)	151,070	-	-
	14,954,816	586,370	1,500	15,542,686
Cost of sales	(10,728,561)	(302,084)	(30,082)	(11,060,727)
Fair value changes on biological assets	5,678	-	-	5,678
Profit before tax	1,550,879	241,839	(28,689)	1,764,029
Finance costs	(262,229)	(87,969)	(185,550)	(535,748)
Finance income	396,136	1,132	-	397,268
Depreciation and amortization	641,741	262,055	19,990	923,786
Segment EBITDA	1,567,503	68,885	136,871	1,773,259
Segment assets	17,072,717	5,275,938	5,051,458	27,400,113
Segment liabilities	4,272,344	1,615,824	2,760,765	8,648,933

Revenue reported above represents revenue generated from external customers, except for the intersegment sales identified in year 2013.

Segment liabilities represent long term loans and current liabilities only.

c) Information on major customers

Included in revenue arising from sales of sugar of Shs 11.15 billion (2012: Shs 14.82 billion), is revenue of approximately Shs 2.09 billion (2012: Shs 3.1 billion) which arose from sales to the company's largest customer.

The energy revenue solely relates to sales to Kenya Power and Lighting Company Limited (KPLC). The company has a power purchase agreement with KPLC which stipulates that the power generated by the company shall be purchased by KPLC as per agreed rates and operational parameters

d) Other information

The accounting policies for the reportable segments are the same as the company's accounting policy described in note 1.

All the assets of the company are located in Kenya.

NOTES (CONT'D)

4 REVENUE ANALYSIS

	2013 Shs'000	2012 Shs'000
Gross sales	14,936,100	18,702,674
Less:		
Value Added Tax (VAT)	(2,049,620)	(2,564,669)
Sugar Development Levy (SDL)	(446,245)	(591,719)
Excise Duty	(482,412)	(3,600)
	(2,978,277)	(3,159,988)
Net sales	11,957,823	15,542,686
Net sales analysed as follows:		
Sugar sales	11,156,123	14,824,660
Molasses sales	137,471	281,225
	11,293,594	15,105,885
Electricity sales	305,360	435,301
Ethanol sales	330,505	1,500
Water sales	28,364	-
	11,957,823	15,542,686

5(a) FINANCE INCOME

	2013 Shs'000	2012 Shs'000
Interest income:		
On farmers balances	380,387	396,136
On deposits with financial institutions held to maturity	785	4,598
On staff loans	12,025	9,157
On collateral deposits held to maturity	1,139	1,132
	394,336	411,023

The interest income on farmers' balances relates to the interest the company charges farmers in relation to credit advanced for farm inputs. The company recovers these amounts from the amounts payable to farmers on harvested cane.

5(b) FINANCE COSTS

	2013 Shs'000	2012 Shs'000
Interest expense:		
On loans	477,082	315,603
On bank overdrafts	252,779	220,145
	729,861	535,748
Less: Amounts included in cost of qualifying assets	-	(337,965)
Total interest expense	729,861	197,783
Other finance charges	63,710	10,569
Net foreign exchange gains	(68,583)	(66,714)
	724,988	141,638

Interest costs amounting to Sh Nil (2012 – Shs 337,965,000) were capitalised and included in the cost of qualifying assets (Ethanol and Water projects) in accordance with IAS 23 'Borrowing Costs' which allows borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset to form part of the cost of that asset.

6 (LOSS)/PROFIT BEFORE TAXATION

(Loss)/Profit before taxation is arrived at after:

	2013 Shs'000	2012 Shs'000
Charging:		
Employment costs (note 7)	2,399,195	1,997,849
Depreciation of property, plant and equipment (note 11)	1,167,310	912,108
Amortisation of intangible assets (note 12)	22,067	11,678
Operating lease rentals (note 30)	17,011	19,899
Directors' emoluments - fees	4,500	5,500
- other	49,346	78,525
Auditors' remuneration	6,741	6,300
Bad and doubtful debts	93,775	64,064
(Loss)/profit on disposal of non-current assets held for sale	(122,296)	175,008
Write off of fixed assets (note 11)	58,710	80,509
Crediting:		
Amortisation of grant income (note 25)	-	11,800
Reduction in provision for obsolete stock	-	31,005
Gain on revaluation of quoted equity investments at fair value through profit or loss(note 20)	8,866	9,973
Gain on disposal of motor vehicle	-	517

7 EMPLOYMENT COSTS

	2013 Shs'000	2012 Shs'000
Salaries and allowances	2,162,954	1,804,764
Pension - defined benefit scheme	69,921	60,918
Provident fund	41,020	40,386
Staff insurance	87,252	75,775
Staff gratuity provision	14,361	10,422
Pension - statutory defined contribution scheme	4,959	4,860
Provision for leave pay	18,728	724
	2,399,195	1,997,849

8 TAXATION

(a) Taxation charge/(credit)

	2013 Shs'000	2012 Shs'000
Current taxation based on the adjusted profit for the year at 30% - current year	17,739	51,305
Total current taxation charge	17,739	51,305
Deferred taxation (credit)/charge		
- current year	(584,022)	(319,330)
- prior year under/(over) provision	-	19,376
Total deferred taxation (credit)/charge (note 23)	(584,022)	(299,954)
	(566,283)	(248,650)

As at 30 June 2013, the company had accumulated tax losses amounting to Shs 7,990,475,997 (2012: Shs 6,785,123,000).

(b) Reconciliation of expected tax based on accounting profit to taxation charge

	2013 Shs'000	2012 Shs'000
Accounting (loss)/profit before taxation	(2,235,999)	1,764,029
Tax at the applicable rate of 30%	(670,800)	529,209
Tax effect of non deductible expenses	226,161	81,002
Tax effect of non taxable income	(121,644)	(15,017)
Tax effect of excess investment deduction	-	(863,219)
Prior year under/(over) provision of deferred taxation	-	19,375
	(566,283)	(248,650)

NOTES (CONT'D)

8 TAXATION (cont'd)

(c) Taxation recoverable

	2013 Shs'000	2012 Shs'000
At beginning of the year	(200,214)	(250,109)
Paid in the year	(627)	(1,410)
Charge for the year	17,739	51,305
At end of year	(183,102)	(200,214)

9 EARNINGS PER SHARE – BASIC & DILUTED

Earnings per share are calculated by dividing the (loss)/profit for the year attributable to shareholders by the number of ordinary shares in issue during the year.

	2013	2012
(Loss)/profit for the year (Shs'000)	(1,669,716)	2,012,679
Number of ordinary shares (thousands)	1,530,000	1,530,000
(Loss)earnings per share Basic & diluted (Shs)	(1.09)	1.32

There were no potentially dilutive shares outstanding at either 30 June 2013 or 30 June 2012.

10 DIVIDENDS

(a) Dividends per share

The directors do not recommend the payment of a dividend for the year (2012 – Shs 0.50)

(b) The movement in the dividends payable account is as follows:

	2013 Shs'000	2012 Shs'000
At beginning of the year	299,437	282,960
Final dividend declared – 2012/2011	765,000	765,000
	1,064,437	1,047,960
Dividend paid	(608,062)	(748,523)
At the end of the year	456,375	299,437

The unclaimed dividends relate substantially to dividends payable to shareholders who had unresolved share certificate issues at the end of the reporting period. These shares are held in trust by Kanouti Trustees. Other amounts relate to shareholders holding few shares who have not collected their cheques due to insignificant amounts of dividends involved and have accumulated over time.

NOTES (CONT'D)

11 PROPERTY, PLANT AND EQUIPMENT

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
COST OR VALUATION								
At 1 July 2011	1,262,649	3,049,803	9,197,440	329,269	332,682	678,202	2,333,071	17,183,116
Additions	39,607	25,938	110,399	-	56,446	46,744	4,113,005	4,392,139
Disposals	-	-	-	-	(3,060)	-	-	(3,060)
Transfers to non-current assets held for sale (note 21)	-	-	(317,538)	(23,560)	(27,658)	(9,001)	-	(377,757)
Transfers from capital work in progress	16,288	309,424	5,356,686	25,925	-	16,273	(5,724,596)	-
Transfers to intangible assets	-	-	-	-	-	-	(17,094)	(17,094)
Transfers from inventories (note 15)	-	-	291,058	-	-	-	-	291,058
Critical spares written off	-	-	(95,371)	-	-	-	-	(95,371)
At 30 June 2012	1,318,544	3,385,165	14,542,674	331,634	358,410	732,218	704,386	21,373,031
At 1 July 2012	1,318,544	3,385,165	14,542,674	331,634	358,410	732,218	704,386	21,373,031
Additions	64,229	1,367	144,265	106,264	12,355	26,594	860,952	1,216,026
Disposals	-	-	-	-	-	-	-	-
Transfers to non-current assets held for sale (note 21)	-	(2,430)	(10,184)	(7,395)	(26,629)	(31,564)	(57,848)	(136,050)
Transfers from capital work in progress	2,701	237,046	405,866	-	-	205,110	(850,723)	-
Transfers to intangible assets	-	-	-	-	-	-	(111,247)	(111,247)
Capital work in progress writen off	-	-	-	-	-	-	(58,710)	(58,710)
At 30 June 2013	1,385,474	3,621,148	15,082,621	430,503	344,136	932,358	486,810	22,283,050
COMPRISING								
Cost	706,812	1,441,674	10,411,008	329,593	344,136	932,358	486,810	14,652,391
Valuation – 2011	678,662	2,179,474	4,671,613	100,910	-	-	-	7,630,659
	1,385,474	3,621,148	15,082,621	430,503	344,136	932,358	486,810	22,283,050

11 PROPERTY, PLANT AND EQUIPMENT (cont'd)

	Land development Shs'000	Buildings Shs'000	Factory plant and machinery Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Capital work-in-progress Shs'000	Total Shs'000
DEPRECIATION								
At 1 July 2011	-	-	14,185	-	267,401	485,790	-	767,376
Charge for the year	38,519	143,127	599,483	42,470	24,248	64,261	-	912,108
Transfers to non-current assets held for sale (note 21)	-	-	(60,258)	(2,878)	(27,658)	(8,297)	-	(99,091)
Eliminated on disposal	-	-	-	-	(3,060)	-	-	(3,060)
Eliminated on asset write off	-	-	(14,862)	-	-	-	-	(14,862)
At 30 June 2012	38,519	143,127	538,548	39,592	260,931	541,754	-	1,562,471
At 1 July 2012	38,519	143,127	538,548	39,592	260,931	541,754	-	1,562,471
Charge for the year	38,918	151,244	821,546	51,134	30,028	74,440	-	1,167,310
Transfers to non-current assets held for sale (note 21)	-	(132)	(5,160)	(1,078)	(25,233)	(30,210)	-	(61,813)
Eliminated on disposal	-	-	-	-	-	-	-	-
Eliminated on asset write off	-	-	-	-	-	-	-	-
At 30 June 2013	77,437	294,239	1,354,934	89,648	265,726	585,984	-	2,667,968
NET BOOK VALUE (valuation)								
At 30 June 2013	1,308,037	3,326,909	13,727,687	340,855	78,410	346,374	486,810	19,615,082
At 30 June 2012	1,280,025	3,242,038	14,004,126	292,042	97,479	190,464	704,386	19,810,560
NET BOOK VALUE (Cost basis)								
At 30 June 2013	625,181	772,209	12,526,656	265,044	77,055	328,653	486,810	15,081,608
At 30 June 2012	727,648	1,036,072	12,158,401	109,140	97,479	190,464	704,386	15,023,590

Property and factory, plant and machinery were revalued on 30 June 2012, by Tysons Limited, Registered Valuers and Estate Agents. Land developments were revalued based on open market value while the basis for the other assets was depreciated replacement cost.

The balance on capital work in progress mainly represents expenditure on incomplete works on the new office block that were in progress at the end of the reporting period. The transfers from capital work in progress mainly relate to the expenditure incurred factory equipment that were capitalised during the year at a cost of Sh 850 million (2012 – Shs 5.75 million).

All property, plant and equipment have been charged to secure banking facilities as disclosed on note 26.

11 PROPERTY, PLANT AND EQUIPMENT (cont'd)

Fully depreciated property, plant and equipment

	Cost/valuation		Normal annual depreciation charge	
	2013 Shs'000	2012 Shs'000	2013 Shs'000	2012 Shs'000
Buildings	102,101	-	4,084	-
Factory plant and machinery	84,137	63,196	4988	7,890
Heavy mobile machinery	3,187	106,539	398	15,200
Motor vehicles	247,462	217,739	52,358	46,572
Other equipment and fixtures	416,574	375,403	97,198	93,200
	853,461	762,877	159,026	162,862

12 INTANGIBLE ASSETS

	Computer software Shs'000	Development costs Shs'000	Capital work in progress Shs'000	Total Shs'000
At 1 July 2011	208,972	135,969	-	344,941
Additions	15,080	29,375	-	44,455
Transfers from property, plant and equipment	17,094	-	-	17,094
At 30 June 2012	241,146	165,344	-	406,490
At 1 July 2012	241,146	165,344	-	406,490
Additions	19,893	-	-	19,893
Transfers from property, plant and equipment	-	-	111,247	111,247
Transfers from capital work in progress	4,320	-	(4,320)	-
At 30 June 2013	265,359	165,344	106,927	537,630
AMORTISATION				
At 1 July 2011	188,209	-	-	188,209
Charge for the year	11,678	-	-	11,678
At 30 June 2012	199,887	-	-	199,887
At 1 July 2012	199,887	-	-	199,887
Charge for the year	22,067	-	-	22,067
At 30 June 2013	221,954	-	-	221,954
NET BOOK VALUE				
At 30 June 2013	43,405	165,344	106,927	315,676
At 30 June 2012	41,259	165,344	-	206,603

Intangible assets represent computer software and development costs. Capital work in progress relates to ongoing software upgrade.

12 INTANGIBLE ASSETS (cont'd)

Development costs represent consultancy, sensitisation and environmental impact assessment costs incurred on the development of the Tana Delta Integrated Sugar Project in conjunction with Tana and Athi River Development Authority (TARDA). All expenditure incurred on the research phase of this project was expensed when incurred.

The amounts incurred are to be converted to equity in a company to be incorporated to run the project and in which it is envisaged that Mumias Sugar Company Limited will have the majority shareholding. The company is in the process of identifying suitable investors and financiers for the project. The development costs are not amortised as they have an indefinite useful life.

At 30 June 2013, intangible assets with a cost of Shs 191,252,311 (2012 – Shs 208,973,708) were fully amortised. The normal annual amortisation charge on these assets would have been Shs 63,744,395 (2012 – Shs 69,650,937).

13 PREPAID OPERATING LEASE RENTALS

The company owns 4,413.82 hectares of leasehold land. The land has been charged to secure banking facilities granted to the company as disclosed in note 26. The development was valued on 30 June 2012, by Tysons Limited, Registered Valuers and Estate Agents, on open market basis at Shs 790,000,000. The value of the land is not reflected as prepaid operating lease rentals as the land was allocated to the company by the Government of Kenya at no purchase consideration. In doing this, the company has applied the alternative recognition method allowed by IAS 20 'Accounting for Government Grants and Disclosure of Government Assistance' and accounted for both asset and grant at a nil amount.

14 NON CURRENT RECEIVABLES

	2013 Shs'000	2012 Shs'000
Staff receivables	241,387	227,156
Less: receivable within one year (included under note 17)	(83,692)	(77,066)
Receivable after one year (non-current)	157,695	150,090

The company operates a car loan scheme for its employees where by eligible employees are given loans to acquire cars for their personal use. The loans are repayable within a maximum period of 60 months.

Included in the staff receivables balances are staff car loans amounting to Shs 241,387,000 (2012 – Shs 214,421,820) which are secured by the vehicles acquired through the loans. The effective interest rate on staff loans during the year was 5% (2012 - 5%).

15 INVENTORIES

	2013 Shs'000	2012 Shs'000
Sugar and molasses	1,245,532	33,716
Sugar in process	144,667	261,822
Ethanol	10,961	-
Water	7,946	-
	1,409,106	295,538
Mechanical and electrical spares	1,051,485	909,493
Fertilisers, chemicals and fuels	764	302,443
Other consumables	1,709	168,614
	2,463,064	1,676,088

15 INVENTORIES (Cont'd)

As detailed in note 11, inventories with a carrying cost of Shs Nil (2012: Shs 291,508,000) have satisfied the criteria for classification as plant and equipment in accordance with the provisions of IAS 16 and have therefore been transferred to property, plant and equipment.

The cost of inventories recognised as an expense during the period was Shs 8,926,742,000 (2012: Shs 8,798,968,000).

The cost of inventories recognised as an expense has been reduced by Shs Nil (2012: Shs 31,005,000) in respect of reversal of write-downs of inventory to net realisable value.

16 BIOLOGICAL ASSETS

	2013 Shs'000	2012 Shs'000
At beginning of the year	191,093	210,615
Additions at cost	222,949	197,109
Decrease due to harvest	(165,946)	(154,262)
Decrease due to impairment	(14,937)	(68,047)
	233,159	185,415
Loss arising from changes in fair value attributable to physical changes	(16,594)	(24,999)
Gain/(loss) arising from changes in fair value attributable to price changes	2,813	30,677
Fair value (loss) gain during the year	(13,781)	5,678
Carrying amount at the end of the year	219,378	191,093

Significant assumptions made in determining the fair values of biological assets and agricultural produce are:

- The valuation is based on a market price of Shs 3,825 per tonne of sugar cane (2012 – Shs 3,750).
- Cost of cane at the age of six months and below approximate fair value. Mature cane has been stated at fair value less point of sale costs.
- The estimated sucrose content per tonne of mature cane (pol value) at various stages of growth will remain constant at between 8.9% and 13.1% depending on the age of the cane across the sugar belt.

As at 30 June 2013, 48% (2012 – 65%) of the Nucleus Estate land under cane cover measuring 1,614 ha (2012 – 2,278 ha) was under immature cane. The remaining 52% (2012 – 35%) estate land measurin 1,750 ha (2012 – 1,208 ha) was under mature cane.

During the year 127,628 tonnes (2012 – 166,455 tonnes) of cane were harvested from the estate with a fair value less estimated point of sales of Sh 404,989,547(2012 - Sh 530,178,657).

In determining the present value of expected net cash flows, the company has not discounted the cash flows as standing cane will mature within the next reporting period and therefore the impact of time value of money on estimated future cash flows is not significant.

Impairment loss relating to Nasewa Nucleus Estate of Sh 20,511,812 has been factored in the valuation. The company ceased farming on Nasewa Nucleus since the operations were continuously running into losses as a result of persistent cane fires.

As at 30 June 2013, the company had lodged insurance claims of Sh 36,535,230 (2012- Sh 47,535,230) with the insurers for loss arising from cane fires in the Nucleus estates, the settlement of which remained contingent at year end.

NOTES (CONT'D)

17 TRADE AND OTHER RECEIVABLES

	2013 Shs'000	2012 Shs'000
Receivables from farmers*	2,608,274	2,467,824
Trade receivables	351,477	848,896
Other receivables and prepayments	545,712	907,078
Advance payments to suppliers	176,711	225,396
Staff receivables (note 14)	83,692	77,066
Kenya Power & Lighting Company Limited (KPLC) receivables	-	57,788
	3,765,866	4,584,048

The KPLC receivables represented costs incurred by the company on behalf of KPLC for the construction of a transmission line between Mumias and Musaga substation in order to export power to the national grid. The costs (inclusive of taxes) of undertaking the design, construction, installation, testing and commissioning of the KPLC interconnection facilities were to be borne by KPLC and were recovered from KPLC in accordance with the KPLC Interconnection Facilities Project Implementation agreement.

The construction of cogeneration plant was financed partly through the Societe de Promotion et de Participation pour la Cooperation Economique S.A. (PROPARCO) loan. Under the direct Power Purchase Agreement (PPA), between KPLC, PROPARCO and the company, KPLC has assigned the rights of the borrower to the lender. The rights are inclusive of the lenders ability to instruct KPLC on where to make payments relating to the PPA. The amount receivable from KPLC of Shs 50.3 million forms part of the collateral for the PROPARCO loan.

Included in trade receivables is Sh 50,403,816 (2012 – Sh 153,734,451) that relates to the sale of electricity to KPLC in the normal course of trade.

*Receivables from farmers

	2013 Shs'000	2012 Shs'000
Gross amount	3,079,443	2,885,146
Provision for doubtful debts	(471,169)	(417,322)
Net amount (note 17)	2,608,274	2,467,824

Receivables from farmers relates to cost of farm inputs supplied to farmers on credit. The cane planted acts as collateral and amounts are recovered on purchase of cane from the farmers.

Mumias Outgrowers Company Organisation Receivables

	Gross amount Shs'000	Provision for doubtful debts Shs'000	Net 2013 Shs'000	Net 2012 Shs'000
Accountancy fees and agricultural extension services	251,453	(251,453)	-	-
Interest receivable from MOCO	426,717	(426,717)	-	-
Advance to MOCO	56,813	(56,813)	-	-
Legal fees recoverable	64,064	(64,064)	-	-
	799,047	(799,047)	-	-

The directors have made provisions for the amounts deemed not recoverable from Mumias Outgrowers Company Organisation (MOCO) due to its inability to meet its obligations as they fall due.

The interest receivable from MOCO has been disputed by MOCO (note 32).

MUMIAS SUGAR COMPANY LIMITED
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NOTES (CONT'D)

18 COLLATERAL DEPOSIT

	2013 Shs'000	2012 Shs'000
At beginning of the year	294,817	314,524
Interest earned	899	1,182
Interest received	(899)	(1,182)
Currency translation gain (loss)	7,108	(19,707)
At the end of the year	301,925	294,817

This is a term deposit which represents a 10% advance collateral deposit on the PROPARCO Loan Facility (note 26) that the company was required to place in a Debt Reserve Bank Account with a receiving bank (Barclays Bank of Kenya Limited). The deposit amounted to US Dollars 3.5 million. The deposit earns interest at a rate of LIBOR minus 0.25%. The amount is expected to be discharged by December 2017 when the loan is fully repaid.

19 SHORT TERM DEPOSITS – Held to maturity

	2013 Shs'000	2012 Shs'000
At amortised cost		
Maturing within 90 days		
Barclays Bank of Kenya Limited	-	51,797

The effective interest rates was as follows:

	2013 %	2012 %
Barclays Bank of Kenya Limited	-	0.1

20 QUOTED INVESTMENTS – At fair value through profit or loss

	2013 Shs'000	2012 Shs'000
At beginning of the year	35,240	25,267
Fair value gain	8,866	9,973
At the end of the year	44,106	35,240

The company was allotted the Uchumi Supermarkets Limited ordinary shares after the supermarket chain was relisted at the Nairobi Securities Exchange. This was in exchange for an outstanding debt of Shs 14,937,205 owed to the company by Uchumi Supermarkets Limited and a debenture of Shs 7,226,625. The total amount of Shs 22,163,830 was exchanged for 2,216,383 ordinary shares at a par value of Shs 10 per share. As at the end of the year, the market price per share was Shs 19.90 (2012 - Shs 15.90)

NOTES (CONT'D)

21 NON CURRENT ASSETS HELD FOR SALE

	Building Shs'000	Factory plant and equipment Shs'000	Heavy mobile machinery Shs'000	Motor vehicles Shs'000	Other equipment and fixtures Shs'000	Total Shs'000
COST						
At 1 July 2011	-	-	-	-	-	-
Transferred from property, plant and equipment (note 10)	-	257,280	20,682	-	704	278,666
Disposals	-	(212,677)	(3,785)	-	(704)	(217,166)
At 30 June 2012	-	44,603	16,897	-	-	61,500
At 1 July 2012	-	44,603	16,897	-	-	61,500
Transferred from property, plant and equipment (note 11)	2,298	62,872	6,317	1,396	1,354	74,237
Disposals	(2,298)	(102,768)	(16,898)	(1,396)	(801)	(124,161)
At 30 June 2013	-	4,707	6,316	-	553	11,576
NET BOOK VALUE						
At 30 June 2013	**-**	**4,707**	**6,316**	**-**	**553**	**11,576**
At 30 June 2012	**-**	**44,603**	**16,897**	**-**	**-**	**61,500**

Assets held for sale represent assets that the company intends to dispose of within the next year in their present condition.

MUMIAS SUGAR COMPANY LIMITED
FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2013

NOTES (CONT'D)

	2013 Shs'000	2012 Shs'000
22 SHARE CAPITAL		
Authorised: 2,500,000,000 ordinary shares of Shs 2 each	5,000,000	5,000,000
Issued and fully paid: 1,530,000,000 ordinary shares of Shs 2 each	3,060,000	3,060,000

Issued and fully paid ordinary shares, which have a par value of Shs 2, carry one vote per share and carry a right to dividend.

23 DEFERRED INCOME TAXATION LIABILITY

Deferred income taxes are calculated on all temporary differences under the liability method using the enacted tax rate of 30%.

The net deferred taxation liability is attributable to the following items:

	2013 Shs'000	2012 Shs'000
The net deferred taxation liability is attributable to the following items:		
Deferred taxation liabilities:		
Accelerated capital allowances	3,625,810	3,870,985
Revaluation surpluses	1,360,042	1,436,090
Unrealised exchange gains	260,369	60,981
	5,246,221	5,368,056
Deferred taxation assets:		
Provision for service gratuity	(4,835)	(1,184)
Provision for staff leave pay	(13,088)	(8,566)
Fair value adjustment - biological assets	(92,081)	(52,970)
Unrealised exchange losses	(204,906)	(212,605)
General doubtful debts provision	(86,196)	(25,200)
Other provisions	(4,500)	(4,500)
Tax losses available for offset against future profits	(2,397,143)	(2,035,537)
	(2,802,749)	(2,340,562)
	2,443,472	3,027,494
The movement on the deferred taxation account during the year was as follows:		
At 1 July	3,027,494	3,327,449
Charge/(credit) - note 8(a) – Current year	(584,022)	(319,330)
– Prior year	-	19,375
At 30 June	2,443,472	3,027,494

24 RETIREMENT BENEFITS OBLIGATIONS

(a) Provision for service gratuity

	2013 Shs'000	2012 Shs'000
Balance at the beginning of the year	3,948	14,217
Provision for the year	14,361	10,422
Paid during the year	(2,193)	(20,691)
Balance at the end of the year	16,116	3,948

Maturity analysis

	2013 Shs'000	2012 Shs'000
Within one year	5,652	1,201
After one year	10,464	2,747
	16,116	3,948

(b) Staff retirement defined benefit scheme

A full actuarial valuation was last carried out as at 30 June 2012 by Alexander Forbes Financial Services (E.A.) Limited. An updated valuation was carried out as at 30 June 2013 for the purposes of identifying material movements as at the end of the reporting period. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the Projected Unit Credit Method.

The principal assumptions used for the purposes of the actuarial valuations were as follows:

	2013	2012
Discount rate (% p.a)	12.5	12.5
Expected return on scheme assets (% p.a)	10	10
Future salary increases (% p.a)	5% p.a for 2 years and 8% thereafter	10

The expense incurred in the year in respect of these defined benefit plans is as follows.

	2013 Shs'000	2012 Shs'000
Current service cost net of employees contributions	18,321	24,618
Interest on obligation	179,900	171,100
Expected return on plan assets	(128,300)	(134,800)
Total expense	69,921	60,918

The company's obligations in respect of its defined benefit plans are as follows.

	2013 Shs'000	2012 Shs'000
Present value of funded obligations	1,487,900	1,474,800
Fair value of scheme assets	(1,621,500)	(1,301,800)
Net over/(under) funding in funded plan	(133,600)	173,000
Accumulated unrecognized actuarial gains/ (losses)	133,600	(173,000)
Net asset	-	-

24 RETIREMENT BENEFITS OBLIGATIONS (cont'd)

(b) Staff retirement defined benefit scheme (cont'd)

Movements in the present value of the defined benefit obligation in the current and previous period were as follows:

	2013 Shs'000	2012 Shs'000
Opening defined benefit obligation	1,474,800	1,358,600
Current service cost (net of employee contributions)	37,700	30,100
Employee contributions	34,900	30,000
Interest costs	179,900	171,100
Actuarial (gains)/losses	(95,800)	29,400
Benefits paid	(143,600)	(144,400)
Closing defined benefit obligation	1,487,900	1,474,800

Movements in the present value of the plan assets in the current are previous period were as follows:

	2013 Shs'000	2012 Shs'000
Opening fair value of plan assets	1,301,800	1,373,000
Expected return on plan assets	128,300	134,800
Employee contributions	34,900	30,000
Employer contributions	70,600	63,500
Actuarial losses	229,500	(155,100)
Benefits paid	(143,600)	(144,400)
Closing fair value of plan assets	1,621,500	1,301,800

The major categories of plan assets at the end of the reporting period are shown below;

The major categories of plan assets, and the expected rate of return at the end of the reporting period for each category, are as follows.

	Fair value of plan assets		Proportion	
	2013 Sh '000	2012 Sh '000	2013 %	2012 %
Equities	544,049	381,494	34	29
Debt instruments	889,700	715,851	55	47
Others investments	187,751	204,455	12	12
	1,621,500	1,301,800	100	100
Weighted average expected return	162,150	130,179	10	10

The weighted expected return on scheme assets is 10% (2012: 10%) per annum.

24 RETIREMENT BENEFITS OBLIGATIONS (cont'd)

(b) Staff retirement defined benefit scheme (cont'd)

The overall expected rate of return is a weighted average of the expected returns of the various categories of plan assets held. The director's assessment of the expected returns is based on historical return trends and analysts' predictions of the market for the asset in the next twelve months.

The actual return on plan assets was a deficit of Shs 357,000,000 (2012: Surplus of Shs 20,300,000).

Contributions to the company staff retirement defined benefit scheme are determined by the rules of the scheme and totalled Shs 69,920,509 (2012 – Shs 60,917,699) in the year.

The history of experience adjustments is as follows;

	30 June 2013 Shs'000	30 June 2012 Shs'000
Present value of defined benefit obligation	1,487,900	1,474,800
Fair value of plan assets	(1,621,500)	(1,301,800)
Net under/(over) funding in funded plan	(133,600)	173,000
Experience adjustments on plan liabilities	(95,800)	29,400
Experience adjustments on plan assets	229,400	(155,100)

The company expects to make a contribution of Shs 73,416,534 (2012 - Shs 67,009,468) to the defined benefit plans during the next financial year.

25 DEFERRED GRANT INCOME

	2013 Shs'000	2012 Shs'000
At the beginning of the year	-	11,800
Received during the year	15,379	
Amortisation for the year	-	(11,800)
At the end of the year	15,379	-

The deferred grant income represents the unamortised portion of funds received towards the purchase of equipment under a Roads Maintenance Unit package financed by the Kenya Sugar Board. The amortisation in the prior year is equivalent to the depreciation charge for the equipment purchased under the grant. There was no equipment purchased using the grant in the year and thus no amortisation was recognised.

26 BORROWINGS

(a) Summary of borrowing arrangements

	2013 Shs'000	2012 Shs'000
PROPARCO	1,458,631	1,907,635
Commercial Bank of Africa Limited	364,066	312,080
Barclays Bank of Kenya Limited	240,000	200,000
Ecobank Kenya Limited	1,219,486	1,247,622
CFC Stanbic Bank Limited	519,705	251,593
Kenya Commercial Bank	1,150,996	-
Kenya Sugar Board	75,695	-
Total loans (note 29(b))	5,028,579	3,918,930
Bank overdrafts	1,011,204	1,470,049
The borrowings comprise (note 29(b))	6,039,783	5,388,979

The movement in borrowings is presented on note 29(b)

The borrowings are repayable as follows:

	2013 Shs'000	2012 Shs'000
On demand or within 1 year	3,058,448	2,463,448
Within 2 and 5 years	2,981,335	2,925,531
Within 5 and 10 years	-	-
Long term borrowings	2,981,335	2,925,531
Total borrowings	6,039,783	5,388,979

Analysis of borrowings by currency

	Borrowings in US$	Kshs equivalent Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
30 June 2013				
PROPARCO loan	18,529,411	1,458,631	-	1,458,631
Commercial Bank of Africa	-	-	364,066	364,066
Barclays Bank of Kenya	-	-	240,000	240,000
Ecobank Kenya Limited	10,017,263	819,486	400,000	1,219,486
CFC Stanbic Bank Limited	2,986,858	519,705	-	519,705
Kenya Commercial Bank Limited	-	-	1,150,996	1,150,996
Kenya Sugar Board	-	-	75,695	75,695
	31,533,532	2,797,822	2,230,757	5,028,579
Bank overdraft	3,012,461	259,094	752,110	1,011,204
	34,545,993	3,056,916	2,982,867	6,039,783

26 BORROWINGS (cont'd)

Analysis of borrowings by currency (cont'd)

	Borrowings in US$	Kshs equivalent Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
30 June 2012				
PROP ARCO loan	22,647,058	1,907,635	-	1,907,635
Commercial Bank of Africa	-	-	312,080	312,080
Barclays Bank of Kenya	-	-	200,000	200,000
Ecobank Kenya Limited	9,300,753	783,433	464,189	1,247,622
CFC Stanbic Bank Limited	2,986,858	251,593	-	251,593
	34,934,669	2,942,661	976,269	3,918,930
Bank overdraft	433,198	36,490	1,433,559	1,470,049
	35,367,867	2,979,151	2,409,828	5,388,979

Movement in borrowings (excluding bank overdrafts) analysed by currency

	Borrowings in US$ Shs'000	Borrowings in local currency Shs'000	Total borrowings Shs'000
2013			
At 1 July 2012	2,958,517	960,413	3,918,930
Additional loans	52,918	2,673,428	2,726,346
Repayment of principal	(352,962)	(1,139,183)	(1,492,145)
Accrued interest	262,301	214,781	477,082
Repayment of interest	(220,254)	(256,828)	(477,082)
Currency translation gain	(124,552)	-	(124,552)
At 30 June 2013	2,575,968	2,452,611	5,028,579
2012			
At 1 July 2011	2,610,318	395,544	3,005,862
Additional loans	873,050	1,100,723	1,973,773
Repayment of principal	(362,507)	(520,000)	(882,507)
Accrued interest	225,727	63,470	289,197
Repayment of interest	(225,727)	(63,470)	(289,197)
Currency translation gain	(178,198)	-	(178,198)
At 30 June 2012	2,942,663	976,267	3,918,930

The company obtained a US dollar 10 million and Kenya Shillings 800 million syndicate loan facility from a consortium of Ecobank Limited, Commercial Bank of Africa Limited and Bank of Africa Limited for part financing of the Ethanol distillery project. Of this facility, US dollars 9.3 million and Kshs 776 million was drawn during the financial year and continues to accrue interest at an average rate of 5.55% and 13.36% respectively. The loan is repayable by quarterly instalments over a period of 6 years and is secured by a fixed charge over the Ethanol plant. Repayment of the principal will begin at the end of the moratorium expiring in February 2013. Meanwhile the company continues to settle accrued interest on amount drawn as it falls due.

26 BORROWINGS (cont'd)

Movement in borrowings (excluding bank overdrafts) analysed by currency (cont'd)

During the financial year, the company continued to make quarterly repayment of the principal and interest on the US Dollars 35 million PROPARCO loan while also maintaining the collateral deposit (note 18) at 10% of the loan disbursed as security. In addition to this collateral, the loan is secured by a fixed charge over the Cogeneration plant.

At the close of the financial year, the company had undrawn committed banking facilities amounting to Shs Nil (2012 – Shs 758,888,388). The banking facilities consist of bank overdrafts, guarantees and letters of credit. The banking facilities are secured by legal charges over LR Mumias Sugar Scheme/2 and fixed and floating debentures over all of the company's assets for Shs 1,380,318,000 shared out on a parri passu basis by Kenya Commercial Bank Limited, Kenya Commercial Finance Company Limited and CfC Stanbic Bank Limited, with Barclays Bank of Kenya Limited share being Shs 630,815,000.

The effective interest rates on the borrowings during the year were:

	2013	2012
PROPARCO	6.53%	6.53%
Barclays Bank of Kenya Limited	19.96%	6.27%
Commercial Bank of Africa Limited	13.36%	13.36%
ECOBANK Limited	5.55%	5.55%
CfC Stanbic Bank Limited	6.04%	3.31%
Kenya Commercial Bank Limited	13.96%	-
Bank overdrafts	21.00%	21.30%

(b) Compliance with covenants in the PROPARCO loan agreement

The amounts due together with the penalties have since been settled by the company.
The non compliance with the covenants and defaults have mainly been occasioned by inadequate cashflows from operating activities arising mainly due to the insufficient cane supply to the factory. As at 30 June 2013, the current liabilities exceeded the current assets by Shs 1,360,409,000.

The company has put in place various marketing and public relation strategies to help improve its relations with the cane farmers. These measures are expected to reverse the existing conditions and the company will return to normal profitability.

PROPARCO has not requested for accelerated repayment of the loan and the terms of the loan have not changed.

27 TRADE AND OTHER PAYABLES

	2013 Shs'000	2012 Shs'000
Trade payables	3,152,466	1,525,534
Outgrowers	711,432	463,067
Prepaid sales	271,072	326,662
Accruals	405,741	202,840
Other payables	303,961	410,274
	4,844,672	2,928,377

28 PROVISION FOR STAFF LEAVE PAY

	2013	2012
At the beginning of the year	28,552	33,822
Provision for the year	18,760	724
Paid in the year	(3,686)	(5,994)
At the end of the year	43,626	28,552

NOTES (CONT'D)

29 NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of profit before taxation to cash generated from operations

	2013 Shs'000	2012 Shs'000
Profit before taxation	(2,235,999)	1,764,029
Adjustments:		
Finance income	(394,336)	(411,023)
Finance costs	793,571	208,352
Depreciation (note 11)	1,167,310	912,108
Amortisation (note 12)	22,067	11,678
Loss on disposal of non current assets held for sale	122,296	175,008
Exchange difference on collateral deposit	(7,108)	19,707
Gain on disposal of motor vehicle	-	(517)
Amortisation of deferred grant income (note 25)	-	(11,800)
Foreign exchange losses/(gains) on borrowings	(124,552)	(178,198)
Gain on revaluation of quoted investments	(8,866)	(9,973)
Loss on asset written off	58,710	80,509
Net cash (used in)/generated from operations before working capital changes	(606,907)	2,559,880
Movements in:		
Non-current receivables	(7,605)	(57,705)
Inventories (note 29(d))	(786,976)	(776,032)
Biological assets	(28,285)	19,522
Trade and other receivables	818,182	(720,453)
Provision for service gratuity	12,168	(10,269)
Trade and other payables	1,916,655	903,618
Provision for staff leave pay	15,074	(5,270)
Net cash generated from operations	1,332,306	1,913,291

(b) Loans movement

	2013 Shs'000	2012 Shs'000
At beginning of year	3,918,930	3,005,862
Received	2,726,346	1,973,773
Repayment of principal	(1,492,145)	(882,507)
Accrued interest	477,082	289,197
Repayment of interest	(477,082)	(289,197)
Currency translation (gain)/loss	(124,552)	(178,198)
At end of the year (note 26)	5,028,579	3,918,930

(c) Analysis of the balances of cash and cash equivalents

	2013 Shs'000	2012 Shs'000
Cash and bank balances	70,923	138,063
Deposits with financial institutions (note 19)	-	51,797
Bank overdrafts (note 26)	(1,011,204)	(1,470,049)
	(940,281)	(1,280,189)

NOTES (CONT'D)

29 NOTES TO THE STATEMENT OF CASH FLOWS (cont'd)

(d) Movement in inventory

	2013 Shs'000	2012 Shs'000
Increase in inventory	(786,976)	(484,974)
Critical spares transferred from inventory (note 11)	-	(291,058)
	(786,976)	(776,032)

30 OPERATING LEASE ARRANGEMENTS

The company as lessee:

	2013 Shs'000	2012 Shs'000
Minimum lease payments under operating leases recognised through profit or loss	17,011	19,899

At the end of the reporting period, the company had outstanding commitments under operating leases, payable as follows:

	2013 Shs'000	2012 Shs'000
Within one year	12,054	14,044
In the second to fifth years inclusive	10,545	56,176
After five years	-	-
	22,599	70,220

Operating lease payments represent rentals payable by the company for certain of its office premises, storage facilities and cane farming. The leases are cancellable with no penalty when the company gives three months notice to vacate the premises.

The company as a lessor:

Property rental income earned during the year amounted to Shs 11,175,000 (2012 – Shs 9,902,000). At the end of the reporting period, the company had contracted with tenants for the following future lease receivables.

	2013 Shs'000	2012 Shs'000
Within one year	11,175	9,902
In the second to fifth years inclusive	-	39,608
After five years	-	-
	11,175	49,510

31 CAPITAL COMMITMENTS

Commitments at the year-end for which no provision has been made in these financial statements:

	2013 Shs'000	2012 Shs'000
Authorised and contracted for	139,484	337,434
Authorised but not contracted for	1,012,646	2,422,429
	1,152,130	2,759,863

The capital commitments relate primarily to software purchase and upgrading (Shs 65million) and improvement of facilities at the factory (Shs 32 million)

32 CONTINGENT LIABILITIES

	2013 Shs'000	2012 Shs'000
Pending claims	144,250	107,176
Guarantees	214,616	138,600

Mumias Sugar Company Limited (MSC) and MOCO have a dispute where MOCO has made a claim of Shs 3,531,008,011 in respect of cane development funds and interest overcharge. The dispute was taken to arbitration but the arbitration process was suspended after a judicial review. The directors are of the opinion that the claim is unlikely to succeed and has therefore not been provided for in these financial statements.

All amounts due from MOCO in respect of accountancy fees, outstanding loans and advances, subsidies to farmers and accrued interest have been fully provided for as indicated in Note 17

33 RELATED PARTY BALANCES AND TRANSACTIONS

a) Staff loans

The company operates a company car loan scheme for managerial and supervisory employees. The balances outstanding on that scheme at year end was Shs 241,390,000 (2012 – Shs 214,421,820). The cars are registered in joint names of the company and the employees as security for the car loans. The interest income earned on staff loans in the year amounted to Shs 12,025,000 (2012 – Shs 9,157,000).

b) Key management compensation

The remuneration for key management during the year was as follows:

	2013 Shs'000	2012 Shs'000
Salaries and other benefits	73,679	70,503

c) Directors' remuneration

	2013 Shs'000	2012 Shs'000
Fees for services as directors	4,500	5,500
Other emoluments	49,346	78,525
	53,846	84,025

34 RISK MANAGEMENT POLICIES

Overview

The company's activities expose it to a variety of operational and financial risks. These activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the company's business and the operational risks are an inevitable consequence of being in business.

The company's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on its financial performance. The key types of financial risks include:

- Credit risk
- Market risk
- Liquidity risk

34 RISK MANAGEMENT POLICIES (cont'd)

The key operational risks include political and environmental risks.

The company's financial risk management policies are designed to identify and analyze these risks, to set appropriate risk limits and controls, and to monitor the risks and at the same time ensuring adherence to laid down limits. This is achieved by means of reliable and up-to-date information systems. The company regularly reviews its financial risk management policies and systems to reflect changes in markets and emerging best practices. The company's overall risk management programme focuses on the unpredictability of changes in the business environment and seeks to minimize potential adverse effects of such risks on its financial performance within the options available in the Kenyan market by setting acceptable levels of risks. Financial risk management is carried out by senior management under the supervision of the Board of Directors. Management in conjunction with various committees then identifies, evaluates and addresses risks accordingly.

In addition, the company has an independent internal audit department which reports directly to the Board Audit Committee. This department is responsible for assessing the risk faced by the company on an ongoing basis, evaluate and test the design and effectiveness of its internal accounting and operational controls that address these risks. The company does not enter into or trade in financial instruments, including derivative financial instruments, for either hedging or speculative purposes.

Credit risk management

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss to the company. The company has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral, where appropriate, as a means of mitigating the risk of financial loss from defaults. The company is exposed to this risk in several areas including trade and other receivables and cash and cash equivalents. However, the company's credit risk is concentrated mainly in advances issued to farmers in the form of farming inputs and in trade receivables in the form of sugar debtors.

The company gives advances to farmers in the form of farming inputs to facilitate sugarcane crop establishment and to improve the productivity of the growing crop. Advances to farmers are eventually deducted from the value of the cane delivered upon harvesting. The key risk is therefore that the yield from the crop will not be sufficient to cover the advanced credit.

The company counters this risk by placing significant emphasis on the vetting and selection of farmers. This is done with the aid of comprehensive and documented criteria which includes a review of farmers' payment histories. The company also monitors budgeted sales outputs and expected factory crushing capacity and also forecasts of expected environmental conditions to aid it in budgeting for these advances. However the existence of favourable weather conditions will always remain outside the control of the company. Political upheavals and general unrest also pose a risk to the company usually resulting in the burning of immature cane. Burning of immature cane reduces the quality and the quantity of the yield from such cane in addition to raising production costs and waste. While an element of this risk is outside the company's control, it has however sought to mitigate this risk by enhancing security in its nucleus estates. The company does not purchase burnt cane from farmers in order to discourage irresponsible burning of immature cane by farmers in order to readily obtain quick cash.

The company is in the process of expanding its operations to avoid over-reliance on the small holder out grower systems with its significant operational challenges. This is mainly through expanding to other farming areas where it can employ the mechanized plantation farming which is expected to be easier and less costly to manage, result in higher per hectare productivity and reduced operational costs hence making the business more competitive and as a result yield higher returns for the shareholders. The company has also diversified into energy production, ethanol and water to reduce over reliance on sugar sales.

The bulk of the company's revenue relates to sugar sales. The company has a documented credit policy whose management and implementation is overseen by a Credit Committee. The Committee manages limits and controls concentrations of credit risk wherever they are identified. It structures the levels of credit risk it undertakes by placing limits on the amount of risk acceptable in relation to a debtor or categories of debtors. Such risks are monitored on a regular basis and are subject to regular reviews. Exposure to credit risk is managed through regular analysis of the ability of credit customers to meet their obligations and by adjusting the limits appropriately. The credit risk on trade receivables is further mitigated by requiring most credit customers to provide guarantees issued by reputable banks recommended by the company.

34 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

In measuring credit risk relating to trade receivables, the company therefore reflects three components:
The 'probability of default' by the customer or counterparty on its contractual obligations; current exposures to the counterparty and its likely future development, from which the company derive the 'exposure at default'; and the likely recovery ratio on the defaulted obligations

With regard to impairment of outstanding receivables, it is the company's policy to assess/review all debts over 90 days for impairment and to provide for all debts where a debtor is declared bankrupt or facing financial difficulties. In some cases where an unsecured customer is in arrears the whole amount is provided for.

Maximum exposure to credit risk before collateral held or other credit enhancements

The maximum exposure to credit risk represents a worst case scenario of credit risk exposure to the company at the end of the reporting period, without taking account of any collateral held or other credit enhancements attached. For reported financial assets, this exposure is based on net carrying amounts as reported in the statement of financial position.

Collateral

The collateral held for sugar debtors include guarantees from reputable banks recommended by the company. Staff debtors mainly comprise car loans advanced to members of staff. The vehicles are jointly registered in the employee and company's name and hence there is no significant exposure arising from staff receivables. The credit risk on liquid funds is limited because the counterparties are commercial banks with high credit-ratings assigned by international credit-rating agencies. No collateral is held for advances to farmers.

The credit risk exposures are classified in three categories:

Neither past due nor impaired

The company classifies financial assets under this category for those exposures that are up to date and in line with contractual agreements.

Past due but not impaired

These relate to financial assets that have passed the contractual payment period but are expected to be recovered within reasonable timelines. These assets are not impaired and continue to be recovered with the active involvement of management. The collateral held for sugar debtors in this category includes guarantees from reputable banks recommended by the company.

Impaired

Impaired financial assets are those for which the company determines that it is probable that it will be unable to collect all payments due according to the contractual terms of the agreement(s). No collateral is held with respect to the debt, or the collateral doesn't sufficiently cover the exposure.

On an ongoing basis, a credit evaluation is performed on the financial condition of accounts receivable.

Analysis of credit risk exposure

The company's largest customer accounted for 15.5% of its current year sales (2012: 21.1%):

Concentration of credit risk to the largest customer did not exceed 5% of gross monetary assets at the end of the reporting period. Concentration of credit risk to any other counter party did not exceed 5% of gross monetary assets at the end of the reporting period.

34 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

Analysis of credit risk exposure (cont'd)

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2013 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	253,712	97,765	122,949	474,426
Receivables from farmers	-	2,608,274	471,169	3,079,443
MOCO receivables	-	-	799,047	799,047
KPLC receivables	-	-	-	-
Quoted investments – Uchumi shares	44,106	-	-	44,106
Collateral deposit	301,925	-	-	301,925
Short term deposits	-	-	-	-
Bank balances	70,923	-	-	70,923
	670,666	2,706,039	1,393,165	4,769,870
Less: impairment allowance	-	-	(1,393,165)	-
	670,666	2,706,039	-	4,769,870

The amount that best represents the company's maximum exposure to credit risk as at 30 June 2012 is made up as follows:

	Neither past due nor impaired Shs'000	Past due but not impaired Shs'000	Impaired Shs'000	Total Shs'000
Trade receivables	706,760	142,136	84,000	932,896
Receivables from farmers	-	2,467,824	417,322	2,885,146
MOCO receivables	-	-	799,047	799,047
KPLC receivables	-	57,788	-	57,788
Quoted investments – Uchumi shares	35,240	-	-	35,240
Collateral deposit	294,817	-	-	294,817
Short term deposits	51,797	-	-	51,797
Bank balances	138,063	-	-	138,063
	1,226,677	2,667,748	1,300,369	5,194,794
Less: impairment allowance	-	-	(1,300,369)	(1,300,369)
	1,226,677	2,667,748	-	3,894,425

Of the total gross amount of impaired receivables, the following amounts have been individually assessed as impaired:

	2013 Shs'000	2012 Shs'000
Trade receivables	122,949	84,000
Receivables from farmers	471,169	417,322
MOCO receivables	799,047	799,047
	1,393,165	1,300,369

34 RISK MANAGEMENT POLICIES (Cont'd)

Credit risk management (cont'd)

Analysis of credit risk exposure (cont'd)

The table below shows the ageing profile of past due but not impaired receivables:

	2013 Shs'000	2012 Shs'000
31 - 60 days	50,403	70,284
61 - 90 days	47,362	145,734
Above 90 days	2,608,274	2,393,942
	2,706,039	2,609,960

Market risk management

Market risk is the risk arising from changes in market prices, such as interest rate and foreign exchange rates which will affect the company's income or the value of its holding of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. Overall responsibility for managing market risk rests with the company's management under the supervision of the Board of Directors.

(i) Interest rate risk

Interest rate risk arises primarily from borrowings, fixed and collateral deposits, cash and cash equivalents. The company's management monitors the sensitivity of reported interest rate movements on a monthly basis by assessing the expected changes in the different portfolios.

At 30 June 2013, an increase/decrease of 3 percentage points on interest rates would have resulted in a decrease/increase in pre-tax profit of Shs Nil (2012 – Shs nil). The interest rate on the PROPARCO loan and Barclays bank loans are fixed thereby eliminating the interest rate risk. This has not been factored in the sensitivity analysis above.

(ii) Currency risk

The company undertakes certain transactions denominated in foreign currencies, mainly the US dollar, the Euro, the Sterling Pound and the South African Rand. This results in exposures to exchange rate fluctuations. The balances impacted in this regard are the balances due to foreign suppliers, balances due from foreign debtors or denominated in foreign currency, bank balances and collateral and term deposits denominated in foreign currency.

As at 30 June 2013, an increase/decrease of 5 percentage points on exchange rates would have resulted in an decrease/ increase in pre-tax profit of Shs 14,510,180 (2012 – Shs 95,381,821). This risk is primarily attributed to the PROPARCO loan after adjusting for the effect of US dollar denominated PROPARCO loan collateral deposit, term deposits, trade and other receivables and Euro denominated trade and other receivables.

Liquidity risk management

This is the risk that the company will encounter difficulties in meeting its financial commitments from its financial liabilities that are settled by delivering cash or another financial asset. Prudent liquidity risk management includes maintaining sufficient cash to meet company obligations when they fall due, under both normal and stressed conditions, without incurring unacceptable losses or at the risk of damaging the company's reputation.

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which has developed and put in place an appropriate liquidity risk management framework for the management of the company's short, medium and long-term funding and liquidity management requirements.

The company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities. In addition, all major capital investments are funded by a mixture of equity and long term debt.

34 RISK MANAGEMENT POLICIES (Cont'd)

Liquidity risk management (cont'd)

The following table analyses the company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the company may be required to pay. The tables include both interest and principal cash flows and exclude the impact of netting agreements.

	1 - 6 months Shs'000	6 – 12 months Shs'000	1 – 5 years Shs'000	Above 5 years Shs'000	Total Shs'000
At 30 June 2013					
Borrowings	865,058	573,092	3,567,057	-	5,005,207
Trade payables	3,152,466	-	-	-	3,152,466
Payables to out growers	711,432	-	-	-	711,432
Bank overdrafts	1,011,204	-	-	-	1,011,204
Total financial liabilities (contractual maturity dates)	5,740,160	573,092	3,567,057	-	9,880,309
At 30 June 2012					
Borrowings	777,897	493,719	3,664,309	-	4,935,925
Trade payables	1,525,534	-	-	-	1,525,534
Payables to out growers	463,067	-	-	-	463,067
Bank overdrafts	1,470,049	-	-	-	1,470,049
Total financial liabilities (contractual maturity dates)	4,236,547	493,719	3,664,309	-	8,394,575

Determination of fair value and fair values hierarchy

IFRS 7 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable inputs reflect market data obtained from independent sources; unobservable inputs reflect the bank's market assumptions. These two types of inputs have created the following fair value hierarchy:

- Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges.
- Level 2 – Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs). This level includes equity investments and debt instruments with significant unobservable components. This hierarchy requires the use of observable market data when available. The company considers relevant and observable market prices in its valuations where possible.

The company has investment in quoted Uchumi shares which are carried at fair value through profit or loss amounting to Shs 44,106,000(2012 – Shs 35,240,000). This investment is categorised under level 1. There were no financial assets categorised under the other levels at the end of the reporting period (2012 – nil).

35 CAPITAL MANAGEMENT

The company's objectives when managing capital are:

- To match the profile of its assets and liabilities, taking account of the risks inherent in the business;
- To maintain financial strength to support business growth; and
- To safeguard the company's ability to continue as a going concern so that it can continue to provide adequate returns to its shareholders and value to all other stakeholders.

NOTES (CONT'D)

35 CAPITAL MANAGEMENT (Cont'd)

The capital structure of the company consists of debt, which includes the borrowings less cash and cash equivalents and equity attributable to equity holders, comprising issued capital, revaluation surplus and retained earnings.

The Board of Directors reviews the capital structure on a regular basis. As part of this review, the board considers the cost of capital and the risks associated with each class of capital. Based on the review, the company analyses and assesses the gearing ratio to determine the appropriate levels. This ratio is calculated as net debt divided by equity. Net debt is calculated as total borrowings less cash and cash equivalents.

There have been no material changes in the company's management of capital during the year.

	2013 Shs'000	2012 Shs'000
The gearing ratio at the year end was as follows:		
Shareholders' equity	13,288,970	15,723,686
Borrowings (note 26)	5,028,579	3,918,930
Collateral deposits (note 18)	(301,925)	(294,817)
Deposits with financial institutions (note 19)	-	(51,797)
Bank overdraft less cash and bank balances	940,281	1,331,986
Net debt	5,666,935	4,904,302
Gearing ratio	42.64%	31.19%

36 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

37 CURRENCY

The financial statements are presented in Kenya Shillings rounded to the nearest thousand (Sh '000) which is also the functional currency

APPENDIX I

DETAILED STATEMENT OF COMPREHENSIVE INCOME

For the Year Ended 30 June 2013

	Appendix	2013 Shs'000	2012 Shs'000
SALES			
Gross sugar sales		13,458,729	17,877,928
Gross molasses sales		159,455	331,293
Gross electricity sales		341,992	487,537
Gross ethanol sales		939,721	5,916
Gross water sales		36,203	-
Total gross sales		14,936,100	18,702,674
Value added tax		(2,049,620)	(2,564,669)
Sugar development levy		(446,245)	(591,719)
Excise Duty		(482,412)	(3,600)
NET SALES		11,957,823	15,542,686
COST OF SALES			
Cane purchases	II	(6,472,874)	(6,970,953)
Factory production- sugar	II	(1,009,703)	(1,380,259)
Factory production- energy	II	(439,490)	(302,084)
Factory production – ethanol	II	(309,789)	(30,011)
Factory production – water	II	(130,740)	(3,332)
Factory engineering	II	(1,240,041)	(811,719)
Production overheads	III	(1,060,107)	(1,423,219)
Sugar packaging materials		(290,281)	(268,629)
Decrease in the value of sugar inventories		557,231	129,549
		(10,395,794)	(11,060,657)
GROSS PROFIT		1,562,029	4,482,029
OTHER OPERATING INCOME	III	237,286	133,031
MARKETING AND DISTRIBUTION COSTS	III	(870,920)	(733,345)
ADMINISTRATIVE EXPENSES	IV	(1,939,560)	(1,567,202)
OTHER OPERATING EXPENSES	IV	(880,401)	(825,547)
FINANCE INCOME		394,336	411,023
FINANCE COSTS		(724,988)	(141,638)
(LOSS)/PROFIT BEFORE TAXATION		(2,222,218)	1,758,351

Reconciliation of results at actual cost of biological assets and agricultural produce to results based on fair valuation of biological assets and agricultural produce:

	2013 Shs'000	2012 Shs'000
(LOSS)/PROFIT BEFORE TAXATION AS ABOVE	(2,222,218)	1,758,351
Fair value adjustment	(13,781)	5,678
(LOSS)/PROFIT BEFORE TAXATION AS PER STATEMENT OF COMPREHENSIVE INCOME	(2,235,999)	1,764,029

DETAILED STATEMENT OF COMPREHENSIVE INCOME (Cont'd)

For the Year Ended 30 June 2013

	2013 Shs'000	2012 Shs'000
CANE PURCHASES		
Registered out growers cane	6,070,735	6,588,976
Nucleus estate cane	402,139	381,977
	6,472,874	6,970,953
FACTORY PRODUCTION- SUGAR		
Depreciation of factory plant and buildings	253,563	466,788
Staff costs	425,738	419,826
Other costs	108,607	252,303
Cane handling	48,138	91,701
Factory chemicals	67,724	68,613
Insurance of factory plant and buildings	71,876	62,659
Water and effluent treatment	34,057	18,369
	1,009,703	1,380,259
FACTORY PRODUCTION- ENERGY		
Depreciation of factory plant and buildings	264,864	262,055
Staff costs	10,004	-
Legal and professional costs	-	8,630
Other costs	24,789	3,083
Factory chemicals	49,231	21,102
Plant and equipment repairs	27,824	12,679
Mechanical, electrical & instrument spares	62,778	(5,465)
	439,490	302,084
FACTORY PRODUCTION- ETHANOL		
Depreciation of factory plant and buildings	248,129	19,812
Staff costs	52,298	10,187
Other costs	9,362	12
	309,789	30,011
FACTORY PRODUCTION- WATER		
Depreciation of factory plant and buildings	23,455	1,863
Packaging materials	21,345	1,060
Other costs	94,141	1,834
Increase in value of water	(8,201)	(1,425)
	130,740	3,332
FACTORY ENGINEERING		
Mechanical spares	418,963	231,359
Staff costs	353,482	266,243
Plant and equipment repairs	211,637	122,318
Electrical spares	102,809	81,260
Fuels and lubricants	55,198	40,306
Factory instruments	58,679	45,444
Welding materials	30,716	24,789
Other costs	8,557	-
	1,240,041	811,719

For the Year Ended 30 June 2013

	2013 Shs'000	2012 Shs'000
PRODUCTION OVERHEADS		
Cane establishment and development other costs	216,021	413,455
Cane establishment and development staff costs	204,140	251,700
Factory administration – staff costs	22,664	245,179
Harvesting and transport staff costs	144,351	133,510
Harvesting and transport other costs	457,994	311,328
Biological Assets Impairment costs	14,937	68,047
	1,060,107	1,423,219
OTHER OPERATING INCOME		
Guest house	55,832	49,413
Sundry income	115,853	22,809
Amortisation of grant income	-	11,800
Rent receivable	11,175	9,902
Seed cane sales	45,560	29,134
Gain on revaluation of quoted equity investments at fair value through profit or loss	8,866	9,973
	237,286	133,031
MARKETING AND DISTRIBUTION COSTS		
Road haulage	347,441	410,928
Staff costs	146,579	90,288
Advertising and promotion	159,590	131,100
Other costs	132,674	89,045
Storage costs	67,797	10,056
Depreciation	11,791	1,928
Rail transport	5,048	-
	870,920	733,345

For the Year Ended 30 June 2013

	2013 Shs'000	2012 Shs'000
ADMINISTRATIVE EXPENSES		
Staff costs	586,173	441,332
Other costs	522,498	202,744
Legal and professional fees	83,188	161,869
Other provisions	-	51,239
Depreciation	82,668	80,699
Medical services	71,808	59,546
Travelling	60,508	62,188
Security	89,497	59,857
Publications and listing	27,354	35,756
Directors' emoluments	20,660	22,877
Amortisation of intangible assets	7,763	11,678
Software licenses and support	19,653	38,337
Insurance	83,375	56,400
Group life insurance	20,990	20,353
Bank charges	-	32,247
Staff training and recruitment costs	26,774	46,828
Telephones and communications	17,498	15,324
Audit fees	6,500	6,300
Stationery	5,413	5,903
Bad and doubtful debts	206,174	73,342
Donations	1,066	1,872
Asset written off	-	80,509
	1,939,560	1,567,202
OTHER OPERATING EXPENSES		
Staff costs	268,805	54,385
Depreciation	74,217	78,962
Other costs	316,780	462,388
Sports and community services	27,733	1,709
Residential estate services	11,882	53,612
Loss on disposal of property, plant and equipment and Non-current assets held for sale	180,984	174,491
	880,401	825,547

NOTES

PROXY FORM

Share Member No.......................................

The Company Secretary,
Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

PROXY

I/We____of______________________________

Being a *Member/Members of the named Company, hereby appoint:

____of______________________________

Or failing him ____of______________________________

As*my/our proxy to vote for*me/us on*my/our behalf at the Annual General Meeting (AGM) of the Company to be held on Friday 6th December 2013 and at any adjournment thereof.
*Strike out as appropriate
Signature (s)

Signed this ______________________________day of______________________________2013

Notes:

1. The address should be that shown in the register of members.
2. In the case of a member being a corporation, this form of proxy must be executed either under its common seal or signed on its behalf by an attorney or officer of the corporation duly authorized.
3. A person appointed to act as a proxy need not be a member of the Company.
4. In case of joint holders, the signature of any one holder will be sufficient but the names of all joint holders should be stated.

Cut here ....

Shareholders admission letter for MSC AGM on 6th December 2013

Please complete this letter and note that this admission letter must be produced at the Annual General Meeting by you or your proxy in order to record attendance. Kindly note that only the registered shareholder or their proxy notified to the Company not later than 48 hours before the meeting will be admitted to the meeting.

NAME____

SIGNATURE____

SHARE ACCOUNT NUMBER____

Annual General Meeting (AGM) of Mumias Sugar Company (MSC) to be held at Tom Mboya Labour College, Ring Road Milimani, Kisumu on Friday 6th December 2013 at 10.00 am.

Nambari ya Mwanahisa.......................................

Katibu Wa Kampuni,
Mumias Sugar Company Limited (MSC)
Private Bag
Mumias

WAKALA

Mimi/Sisi____kutoka____

Kama* mwanachama/Wanachama wa Kampuni iliyotajwa namteua/twamteua

____kutoka____

Au akikosa ____kutoka____

Kama wakala wangu/wetu kupiga kura kwa niaba yangu*/sisi wakati wa Mkutano wa pamoja wa mwaka (AGM) utakaofanyika Ijumaa Desemba 6, 2013 au kuahirishwa kwake.
*Jaza panapohitajika.

Imetiwa sahihi ____Tarehe____Mwaka 2013

Muhimu:

1) Anwani iwe kama ilivyoonyeshwa katika rejista ya wanachama
2) Endapo mwanachama atakuwa shirika, ni lazima fomu hii ya uwakilishi ipigwe mhuri au kutiwa sahihi kwa niaba yake na wakili au afisa wa shirika aliyeidhinishwa.
3) Si lazima kwa mtu aliyeteuliwa kama wakala kuwa mwanachama wa kampuni
4) Endapo mmiliki ni zaidi ya mmoja, sahihi ya mmoja wao itakuwa imetosha lakini majina ya wamiliki wote yaonyeshwe.

Kata Hapa ....

Barua ya kuwaruhusu wanahisa kuhudhuria mkutano wa pamoja wa mwaka wa MSC Ijumaa Desemba 6, 2013.

Tafadhali jaza barua hii na ufahamu kwamba ni lazima itolewe nawe au wakala wako wakati wa mkutano wa pamoja wa mwaka ili kurekodi idadi ya waliohudhuria.
Tafadhali fahamu kwamba ni wanahisa waliosajiliwa tu au mawakala wao ambao majina yao yatakuwa yamewasilishwa kwa kampuni saa 48 kabla ya kuanza kwa mkutano watakaoruhusiwa kuhudhuria.

JINA____

SAHIHI____

AKAUNTI YA MWANAHISA____

Mkutano wa pamoja wa mwaka wa Kampuni ya MSC utakaofanyika Chuo cha Tom Mboya Labour , Ring Road Milimani, Kisumu Ijumaa Desemba 6, 2013 kuanzia saa nne asubuhi.